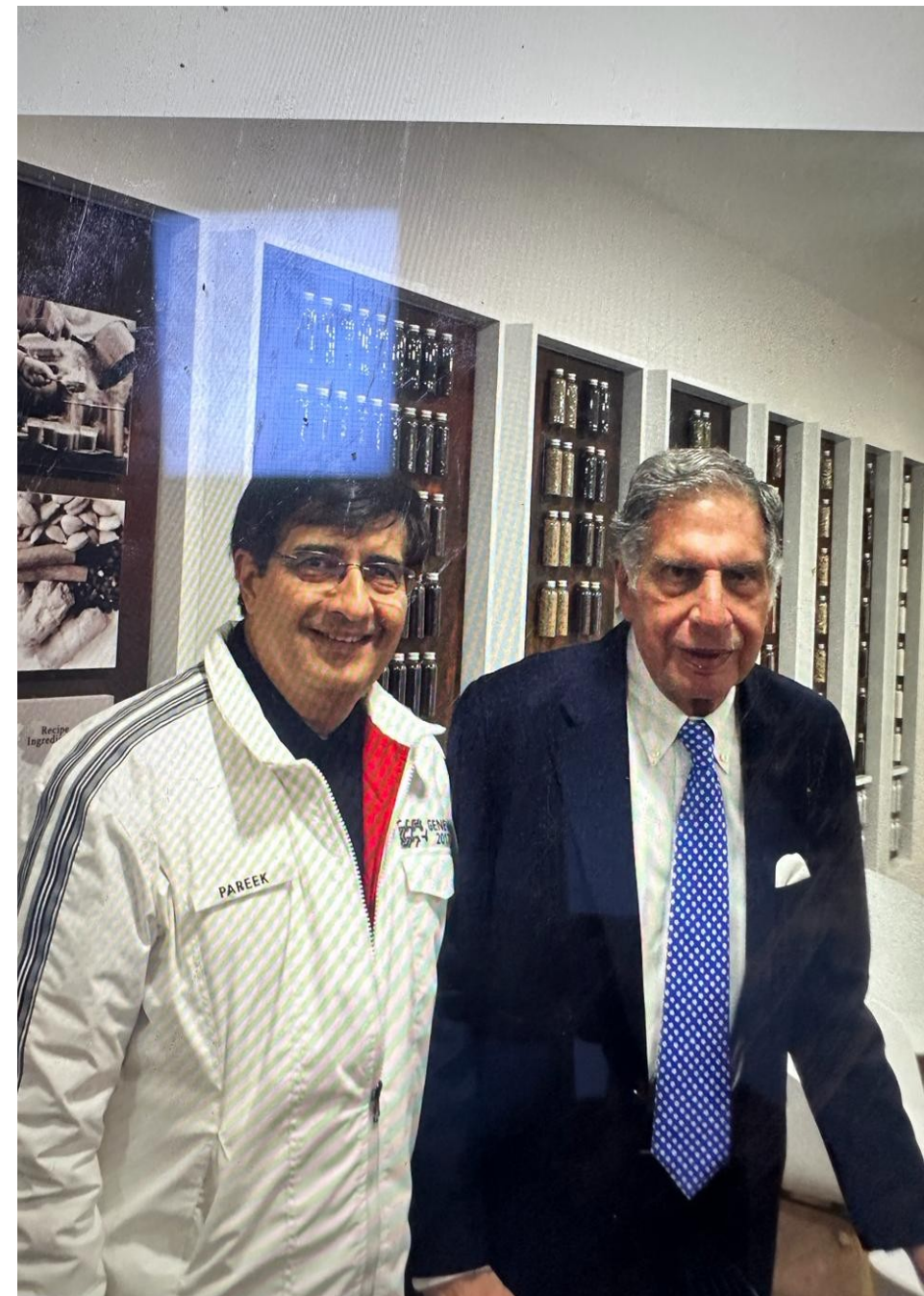


Introduction to Management

Prof Mayank Pareek

Faculty Introduction :

1. Professor of Practice since May 2021
2. 4 decades of Corporate and Business experience
3. MD & CEO Tata Motors, till Mar 2021
4. Chairman TMETC, Concorde, Chairman TMLD, Chairman TMIBL
5. ED MSIL
6. Awards : ET : Young Marketeer of the year; CII: Manager of the year; CNBC : among 100 most powerful persons in India
7. 40 Under 40
8. Core Competence : Brand Building and Business Turnaround
9. Academics : B. Tech : IIT BHU Varanasi;
MBA : IIM Bangalore



Three Blessings

1. INDIAN

GDP : USD 3900 Billion

Largest Growing Economy

3rd Largest 4 Wheeler and Largest 2 wheeler Market

2nd Largest Smart Phone Market; Exporting USD 8 Billion Smart Phones

2nd Largest number of Start-up in world

USA: 71000; India:13100; UK:6200

Healthy Sectoral Composition of Economy : Service : 54%; Industry : 26%; Agriculture:20%

Three Blessings

2. YOUNG

Major economies of the world are ageing

Demographic Dividends : India : 28.7, Japan : 48.6 , Germany : 47.8 : USA: 38.5; China : 38.4

3. Studying at the premier institute of India

1289 companies, including 18 unicorn

Salil Parekh, Bhavish Agarwal, Nandan Nilekeni, Kanwal Rekhi, Parag Agarwal



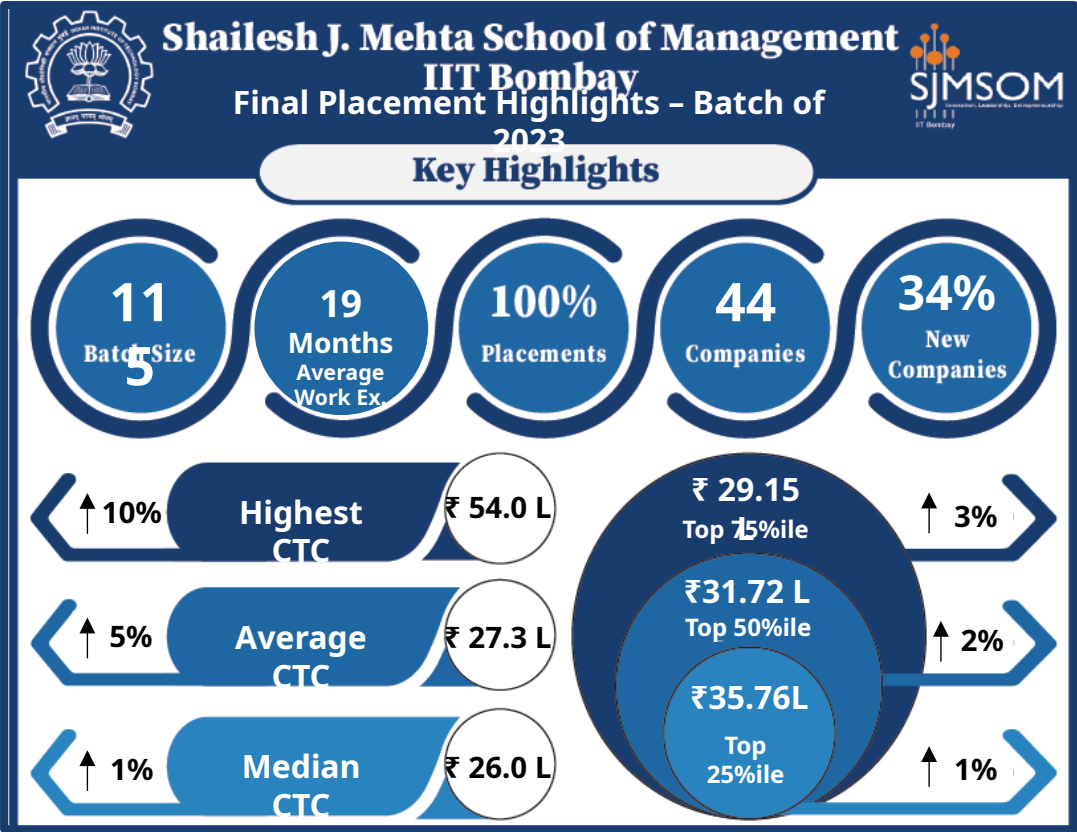
Nikesh Arora

On 4th Jan 24 : 1st Indian Non Founder Tech Billionaire

B.Tech : IIT BHU

MBA : Northeastern University Boston

Power of Management Education



Learning Objectives :

To understand the role of managers in success of business enterprise

To understand the concept and basics of managerial science

To understand the principles of management, managerial skills and strategies required to run a business

Role of Ethics and social responsibilities

Develop an understanding of current management issues and develop ability to do preliminary diagnosis there to.

To understand the important of softer skills key to manage business.

Life Hacks to succeed

EVALUATION

S.No	Evaluation Parameter	Contribution
1	Project Work	20%
2	Quiz(s)	20%
3	End Term Exam	50%
4	Class Participation	10%
Total		100%

80% Attendance is mandatory as per Institute Policy

Quiz: 20 Marks

Objectives : Asses your conceptual understanding

Three Quizzes

Best two out of three will be considered for final assessment

Lunch with Top ten students in each quiz

Award for student(s) who stand among top ten in all three quizzes

Project : 20 Marks

Objectives : Sensitize you about how a real company works
 Demonstrate leadership and followership skills
 Learn communication and organising skills
 Learn team working

Groups of 10 students

Study a company allotted to you

Leader & Co leader : Ensure participation, timely presentation, 10 Marks

Presentation 10-15 minutes on a particular aspect of business

End Term Exam : 50 marks

Objectives : Application of concepts into real business

Mix of Multiple business cases; analysis of business news

Class Participation : 10 marks

Objective : Opportunity for all to participate and express

Develop Public speaking skills

3E Learning

Engage

Energise

Entertain

Learn while having fun



gg103919609 www.gograph.com

	King Fisher Airlines	Indigo Airlines
Founded (Year)	2003	2006
Revenue	USD 1 Billion	USD 10 Billion
Market Cap	**** (closed)	USD 23.5 Billion

Blackberry**Apple**

Founded (Year)	1984	1976
Revenue	USD19 Billion (2011)	USD 395 Billion
Profit	USD 2.5 Billion	USD 100 Billion
Market Cap Peak	USD 80 Billion	USD 3900 Billion

HDFC Bank**Yes Bank**

Founded (Year)	1994	2004 (2015)
Revenue	USD 21 Billion	USD 2.8 Billion
Profit	USD 4.6 Billion	USD (2.8 BN)
Market Cap	USD 124 Billion	USD 1.5 Billion

AMAZON**WALMART**

Founded (Year)	1994	1962
Revenue	USD 469 Billion	USD 600 Billion
Profit	USD 33 Billion	USD 146 Billion
Market Cap	USD 860 Billion	USD 388 Billion

	Toyota	Tesla
Founded (Year)	1937	1962
Revenue	USD 314 Billion	USD 92 Billion
Profit	USD 42 Billion	USD 6 Billion
Market Cap	USD 299 Billion	USD 1020 Billion

Google

Yahoo

Founded (Year)	1998	1994
Revenue	USD 182 Billion	USD 7 Billion
Profit	USD 49 Billion	Loss
Market Cap	USD 1200 Billion	Acquired by Apollo Investments

Companies founded almost in the same economic environment

Companies operated in similar industries

But Yet Some Failed and Some Succeeded

Vision. Not Customer Centric. Changing With Time. Technology.
Business Model. Governance. Brand. Operations. Quality. Markets.
Finance. Leverage. Legal. Human Resource. R&D



MANAGEMENT

What is the purpose of business

To make profit

In a legitimate way

On a long-term sustainable basis

What is the purpose of Management

To make sure that the Business works towards realising its

Vision

Mission

Retaining its Core values

Power of Stock Markets

- Sensex in 2005 : 7000
- Sensex yesterday : 80000
- Rs 10 Lacs invested in 2005 would be Rs 114 Lac today
- If you had invested Rs 10 Lacs in Equity Shares of MSIL : Rs 1000 Lacs

Power of Compounding

- Your First Year Salary : Rs 25 Lacs
- Invest for 20 Year @ 10%
- Rs : 2 Crore

Thank You

Introduction to Management -2

Prof Mayank Pareek

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Energize



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Learn while having fun



gg103919609 www.gograph.com

Unicorns!

- BYJU'S
 - Swiggy
 - Udaan
 - Meesho
 - Flipkart
 - Unacademy
 - CRED
 - PhonePe
 - PharmEasy
 - ShareChat/VerSe
- Innovation

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Retaining its Core values

Features of Management

Continuous and never ending Process

Getting work done from people

Result Oriented

Multi disciplinary in nature

Aided but not replaced by computers

Group and not an individual activity

Intangible but impact is powerful and felt

Situational in Nature

Roles of Management

Interpersonal Role

Figurehead

Leader

Liaison

Informational Role

Disseminator

Spokesperson

Decisional Role

Entrepreneur, Resource allocation

Disturbance handler, Negotiator

Levels of Management and Roles





VISION



MISSION



VALUES

Vision

Gives Company Direction

Describes future of company, its overall purpose

Its meant to be aspirational

What are our hopes and dreams for company?

What problem are we solving for greater good?

Who and what are we trying to change?



To make the best products on earth, and to leave the world better than we found it.



To create economic opportunity for every member of the global workforce



MISSION STATEMENT

“A mission statement is a short statement of why an organization exists, what its overall goal is, identifying the goal of its operations.”

WHAT YOU DO



HOW YOU DO IT



WHY YOU DO IT





To bring the best user experience to customers through innovative hardware, software, and services.



To connect the world's professionals to make them more productive and successful.



Core Values

Core values are **a set of beliefs, ideals or practices that inform how you conduct your life, both personally and professionally.**

Businesses can also have and maintain core values .

These can help an organization determine how to allocate resources, make important decisions and grow.

Characteristics of Core Values

- Deeply held – They are strongly believed and not easily changed.
- Guiding principles – They influence decisions, actions, and priorities.
- Consistent over time – They remain stable, even when situations change.
- Universal within a group – In organizations, they are shared and understood by members.
- Non-negotiable – They are not compromised for convenience or short-term gain.
- Action-oriented – They shape how people behave, not just what they believe.
- Identity-defining – They reflect who a person or organization truly is.
- Applicable across situations – They guide behavior in both easy and difficult circumstances.

Google Core Values

- Great isn't good enough.
- Focus on the user, all else will follow.
- It's best to do one thing really well.
- Fast is better than slow.
- Democracy on the web works.
- You can make money without doing evil.
- There's always more information.
- The need for information crosses all borders
- You can be serious without a suit.
- You don't need to be at your desk



Health Services

Hotel Services



Pharma Industry

Banking



Media & Entertainment

Education Institution

TASK

Make your personal Vision Statement

Send it to me on Moodle by 21st Jan

Introduction to Management

Prof Mayank Pareek

Business News Headlines

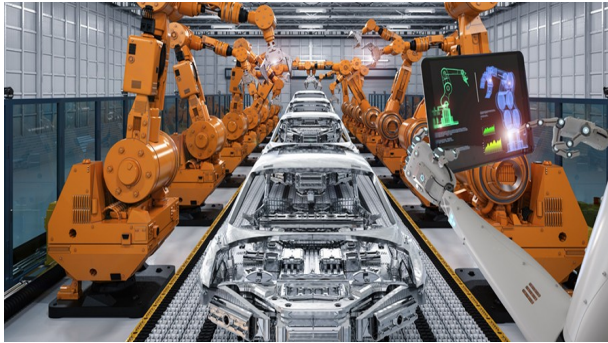
Global Semi Conductor Sales forecast USD 1 Trillion on 2026

Bitcoin declined from peak of USD 125,000 to USD 85000 in Dec 2025

Sensex changed from a low of 71000 in April'25 to 85000 by end Dec

India approves Electronic component manufacturing projects worth USD 2.4 Billion

Avatar-3, collection crosses USD 1 Billion!



WHAT IS OPERATIONS MANAGEMENT?



Key Decisions of Operations Manager

What Resources are Needed and in what amount?

When Will the resources be needed?

Where will the work be done?

How the product/service be designed? How will the work be done

Who will do the work? Human Resources

Scope of Operations Management

Forecasting

Capacity Planning

Scheduling/Managing Inventory

Assuring Quality

Motivating Employees

Factory Layouts/Locations

Some forecasting Models

Time Series Models, SMA, WMA,

Causal Models; Regression, Multiple Regression, Vector Auto Regression

Qualitative Forecasting Methods : Delphi, Market Research

Machine Learning Models; Decision trees, Neural Models

Simulation Models; Monte Carlo Simulation - multiple possible outcomes

Challenges in Operations Management

Technological Advancement; AI, Automation and Data Management

Globalization, Supply chain Complexity and Cultural Differences

Changing Customer expectations, Speed and responsiveness

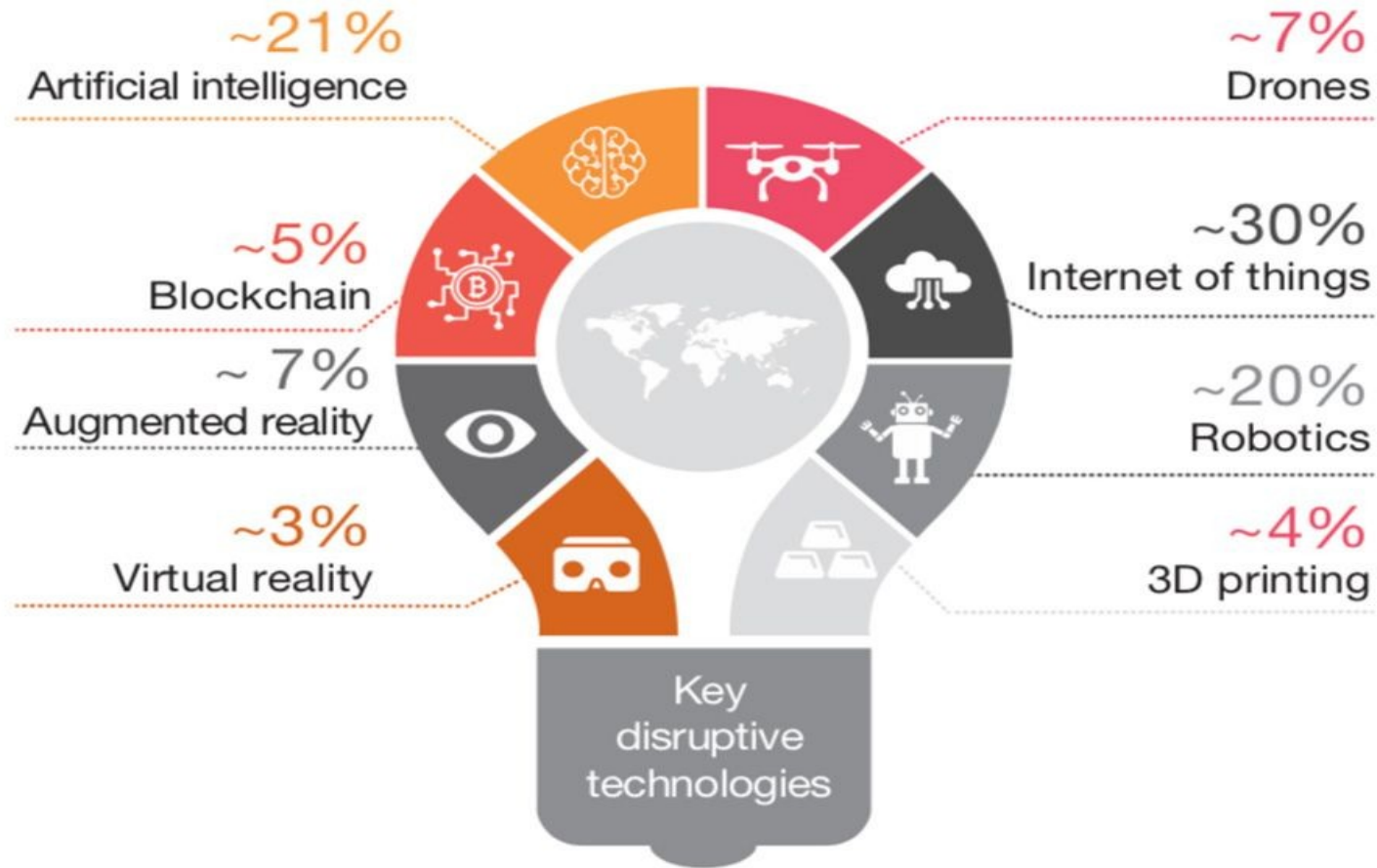
Sustainability, Green Economy

Risk Management and Resilience, Cyber Security

Rising Operations Cost, complex supply chain

Integration of Systems, ERP

To what extent do organisations/companies in India see technology disrupting their work and processes?



EVOLUTION OF OPERATIONS MANAGEMENT

Pre-Industrial Revolution

Highly Skilled Workers

Simple Flexible Tools

Customised production in Volumes

CRAFTS PRODUCTION

EVOLUTION OF OPERATIONS MANAGEMENT

Industrial Revolution began in 1770s

Began in England

Adam Smith – Division of Labour 1776

Application of Rotative Steam Engine 1780s (Back and Forth)

Cotton Gin and interchangeable Parts 1792 (Eli Whitney)

EVOLUTION OF OPERATIONS MANAGEMENT

Scientific Management 1911

Led by Fredrick Taylor, Efficiency Engineer

Believed in Science of Management

Observation, Measurement, Analysis, Improvement of
Work Methods, Economic Incentives

Management responsible for planning, selecting and training
workers and finding best way to do the job

Emphasis on maximising out put

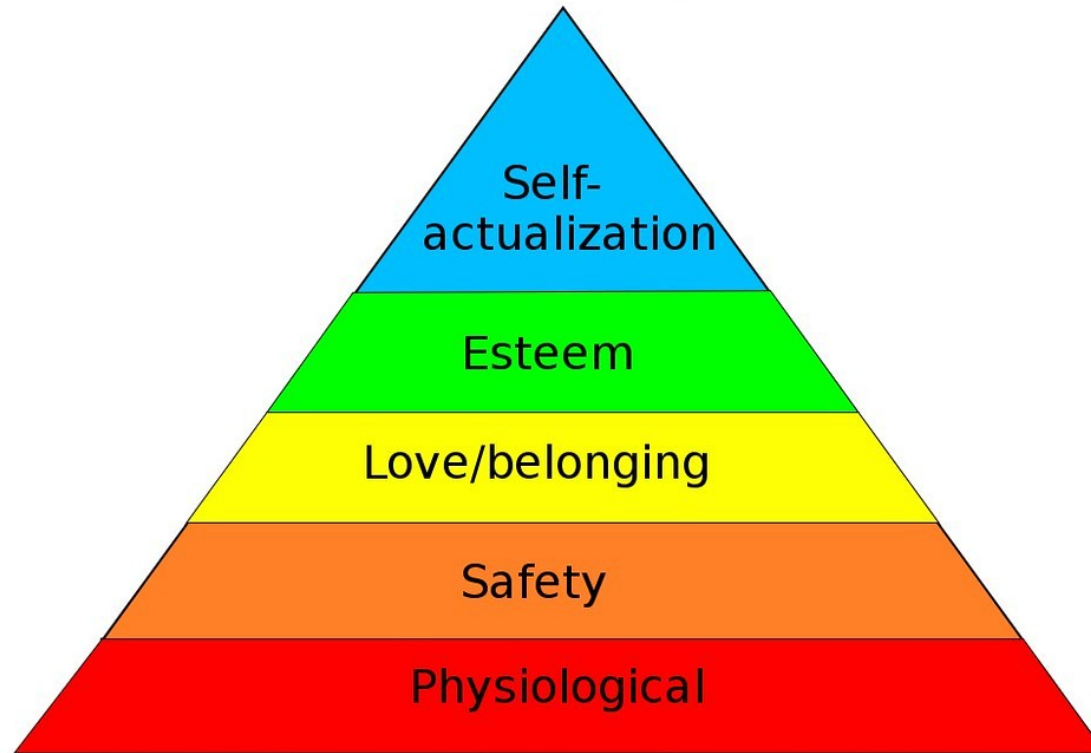
EVOLUTION OF OPERATIONS MANAGEMENT

Human Resources Movement 1920-60s

Importance of Humane element in job design

Maslow's Need Hierarchy

Maslow's hierarchy of needs



https://en.wikipedia.org/wiki/Maslow%27s_hierarchy_of_needs

Physiological Needs (Basic Survival Needs)

Example: A company provides employees with a **competitive salary**, free meals, and comfortable working conditions to meet their basic needs like food, water, and rest.

Safety Needs (Security and Stability)

Example: A company offers **health insurance, job security, and a safe workplace** to ensure employees feel financially and physically secure.

Social Needs (Belonging and Relationships)

Example: Team-building activities, mentorship programs, and an **inclusive work culture** help employees feel connected and part of a community.

Self Esteem Needs (Recognition and Achievement)

Example: An employee receives **awards, promotions, or public recognition** for their contributions, boosting their confidence and sense of accomplishment.

Self-Actualization (Personal Growth and Fulfillment)

Example: A company encourages employees to **pursue personal development**, offering opportunities for innovation, leadership training, and creative freedom to reach their highest potential.

EVOLUTION OF OPERATIONS MANAGEMENT

Human Resources Movement 1920-60s

Importance of Humane element in job design

Maslow's Need Hierarchy

McGregor : Theory X and Theory Y

McGregors' Theory X

- **Theory X (Authoritarian, Pessimistic View)**
- Employees **dislike work** and will avoid it if possible.
- People **need strict supervision** and control.
- Workers are **motivated by punishment and monetary rewards**.
- They **avoid responsibility** and prefer to be directed.
- Management must use **coercion, control, and threats** to ensure work gets done.

McGregors' Theory Y

- **Theory Y (Participative, Optimistic View)**
- Employees **enjoy work** and see it as natural.
- People are **self-motivated and capable of responsibility**.
- Workers **seek opportunities for growth and creativity**.
- Given the right conditions, they will **work towards company goals willingly**.
- Management should foster a **trusting, empowering environment**.

EVOLUTION OF OPERATIONS MANAGEMENT

Decision Models and Management Science

Harris: Mathematical Model of Inventory Management, 1915

Dodge, Romic, Shewart : Statistical Process for QC. 1930

Tippet: Statistical Sampling Theory, 1935

George Dantzig : Linear Programming 1947

Some techniques of Operations Management

Operations Management Techniques

- Lean Manufacturing / Lean Thinking
- Six Sigma : reduce Process variation and improve quality
- Total Quality Management (TQM) : continuous quality improvement
- Forecasting Techniques : Qual : Delphi, Expert; Quant : Time Series, Regression
- Capacity Planning
- Inventory Management : EOQ, JIT, ABC, FSN
- Scheduling Techniques : Gantt Chart, PERT, CPM

Operations Management Techniques

- Supply Chain Optimization
- Queuing Theory : Optimize service efficiency
- **Simulation and Modeling : Monte Carlo Simulation**
- Process Mapping / Value Stream Mapping (VSM) : Identify bottlenecks; delays; redundancy
- Theory of Constraints (TOC)

EVOLUTION OF OPERATIONS MANAGEMENT

Japanese Management Systems

Enhanced Productivity

Best Quality

5 S, 3 G, 3M, 3K

Just in Time

Japanese Management 5-S



ADVANTAGES OF 5S

Reduced Costs

Higher Quality

Improved Productivity

Higher Employee Satisfaction

Safe Working Conditions

Machine Shop Lay out

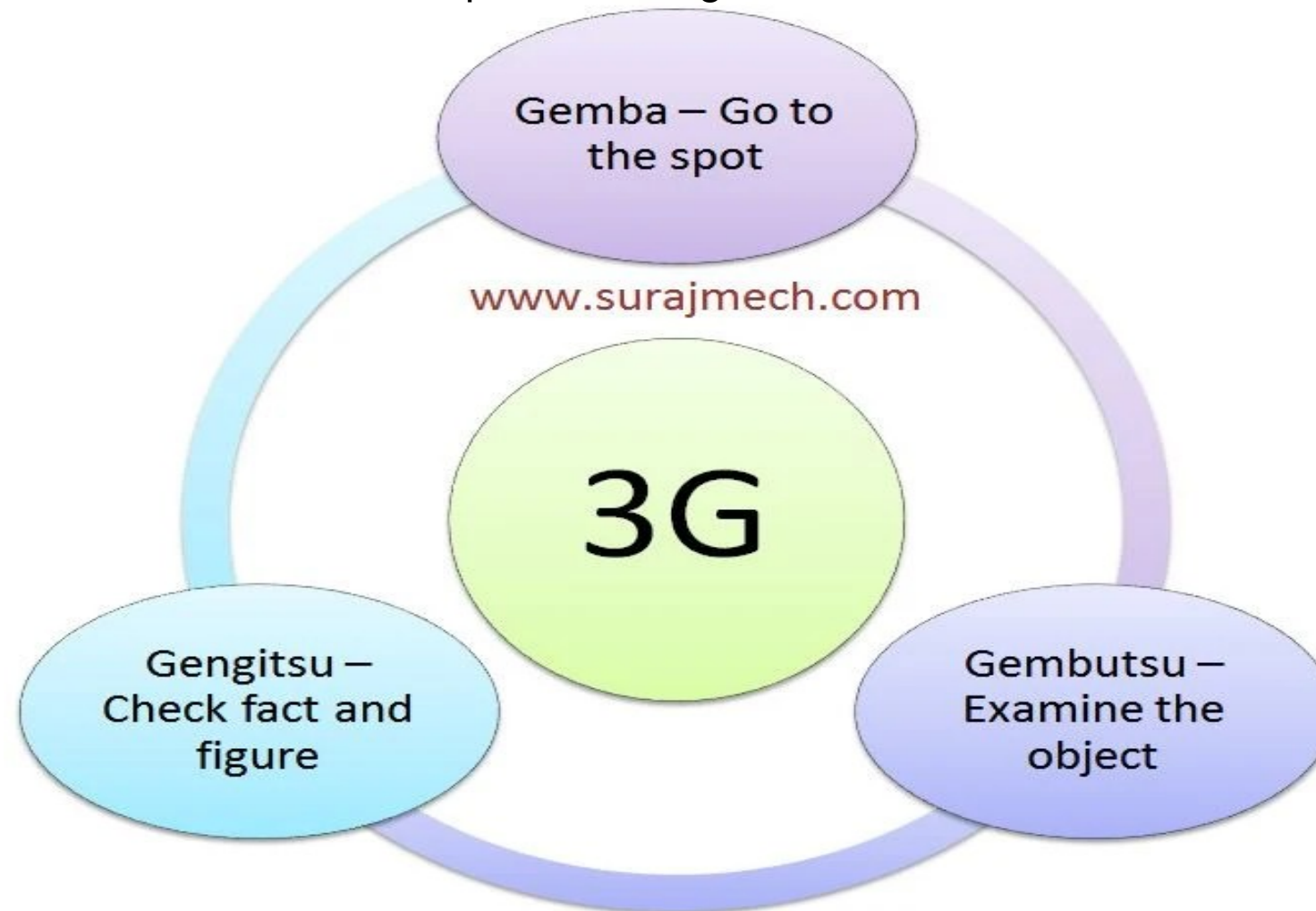


13-01-2026

BEFORE 5S

AFTER 5S

Japanese Management – 3 G



ADVANTAGE of 3G

Quick Diagnostic

Quick Problem Resolution

Permanent Solution

Manufacturing: A plant manager walking the production line to understand bottlenecks.

Software Development: A DevOps engineer monitoring system logs in real-time to detect errors.

Customer Service: A store manager interacting with customers directly to improve service.

Japanese Management 3-M



Muda - Wastage

Muri - Inconvenience

Mura - Inconsistency

MUDA: Wastage

- Example: In a car factory, excess movement of workers to retrieve tools slows down production.
- Solution: Organizing workstations to reduce unnecessary motion.

MURA : Inconsistency

Example: A restaurant experiences a rush of orders at lunchtime but slow periods in the afternoon, leading to inefficiencies.

- Solution: Implementing flexible staffing or batch preparation to smooth workflow

MURI : Inconvenience

Example : A developer is compelled to work over 12 hours per day to meet unrealistic deadlines causing code bugs and fatigue

Solution : Use agile technologies, reexamine staffing

ADVANTAGES OF 3M

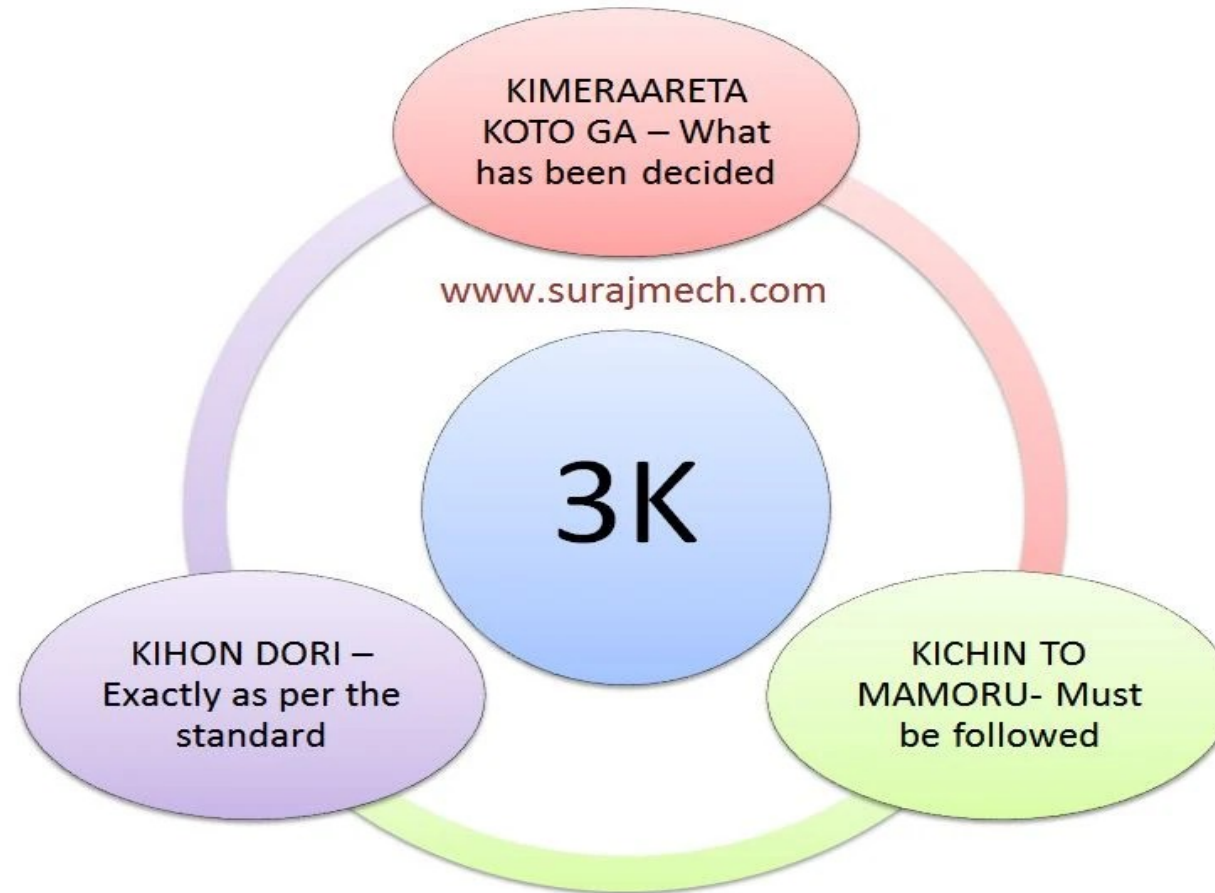
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Japanese Management 3-K



Advantages of 3 K

Process Standardization

Enhanced scale of production

Stable Quality

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EVOLUTION OF OPERATIONS MANAGEMENT



5 W and 1 H Technique for problem solving

What is the problem?

Where is the problem?

Who saw the problem?

When is the problem?

Why is the problem

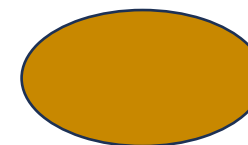
How big is the problem?

Apply Problem Solving Techniques

Food at IIT Hostel Mess

5 W and 1 H Technique for problem solving

How big is the problem?



Almost all students eat at hostel mess

Important for health and well being of students

Food is generally Ok with room for improvement

5 W and 1 H Technique for problem solving

What is the problem?

Food?

Quality?

Hygiene?

Healthy?

Variety?

5 W and 1 H Technique for problem solving

Where is the problem?

Menu?

Preparation?

Mess Ambience?

5 W and 1 H Technique for problem solving

Who Saw/Felt the problem?

Customers/Students?

Mess Manager?

Authorities?

5 W and 1 H Technique for problem solving

When is the problem?

All the meals all the time?

Beginning of mess time

Weekdays? Weekends?

Some other peak days?

5 W and 1 H Technique for problem solving

Why is the problem?

Procurement?

Price?

Skills/HR/Motivation?

Lack of Innovation

Business News Headlines

Market Cap of Alphabet crosses USD 4 Trillion

IHCL Registers India's first sound mark in Hospitality for "Taj" brand

Mobile Phone production to reach USD 75 Billion in FY26

NVIDIA & Eli Lilly AI lab investment (\$1 billion co-innovation) AI lab to accelerate drug discovery using advanced AI computing.

Warner Bros. Discovery rejected a \$77.9 billion hostile takeover bid from Paramount and urged shareholders to support a \$72 billion offer from Netflix instead.

Introduction to Management

Prof Mayank Pareek

Business News Headlines

Mckinsey says that out of its 80000 employees, 20000 are AI agents

Goldman Sachs predicts, 2026 to be a blockbuster year for Mergers and Acquisition

Global Economy to grow 2.7 % in 2026

India's markets saw **violent swings**, (85k to 83K) including sharp falls in major indices early in January due to global trade tensions and foreign outflows

Capital expenditure in FY 26 at the level of ₹11.21 lakh crore, signaling robust public investment to drive growth and infrastructure development.

WHAT IS OPERATIONS MANAGEMENT?



Group Task

- Design a 3-month motivation plan for a manufacturing company using Maslow's Hierarchy of Needs, with a fixed budget of \$100,000 for 1000 employees.
- Moderate employee turnover and absenteeism
- Issues Observed : Fatigue, Low Morale, Limited Growth Opportunity
- Allocate the \$100,000 across the five levels of Maslow's hierarchy. State why?
- For each need level, propose concrete initiatives suitable for a manufacturing environment.
- How will you measure success
- Submit by 25th Jan

EVOLUTION OF OPERATIONS MANAGEMENT

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Machine Shop Lay out



BEFORE 5S

AFTER 5S

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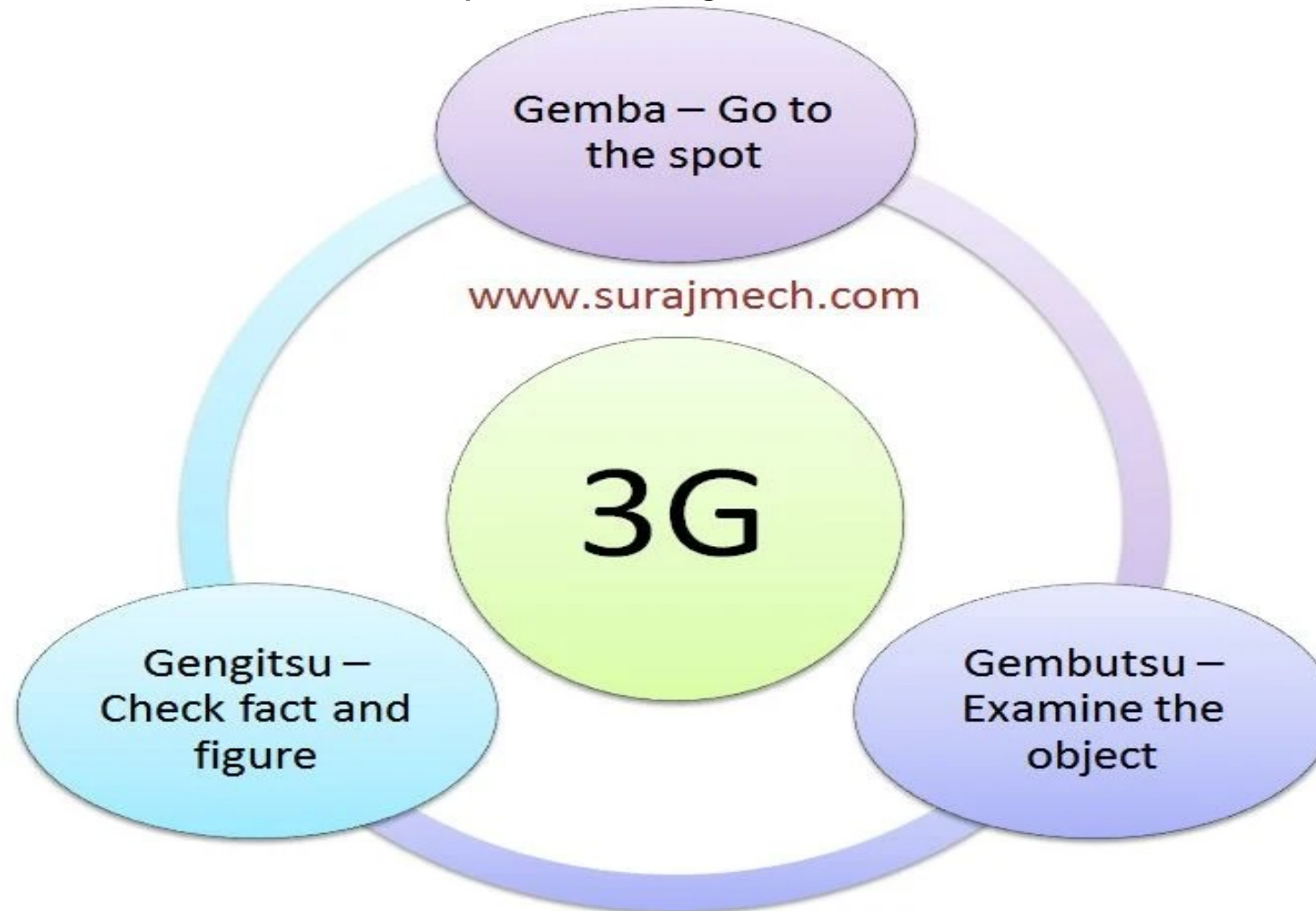
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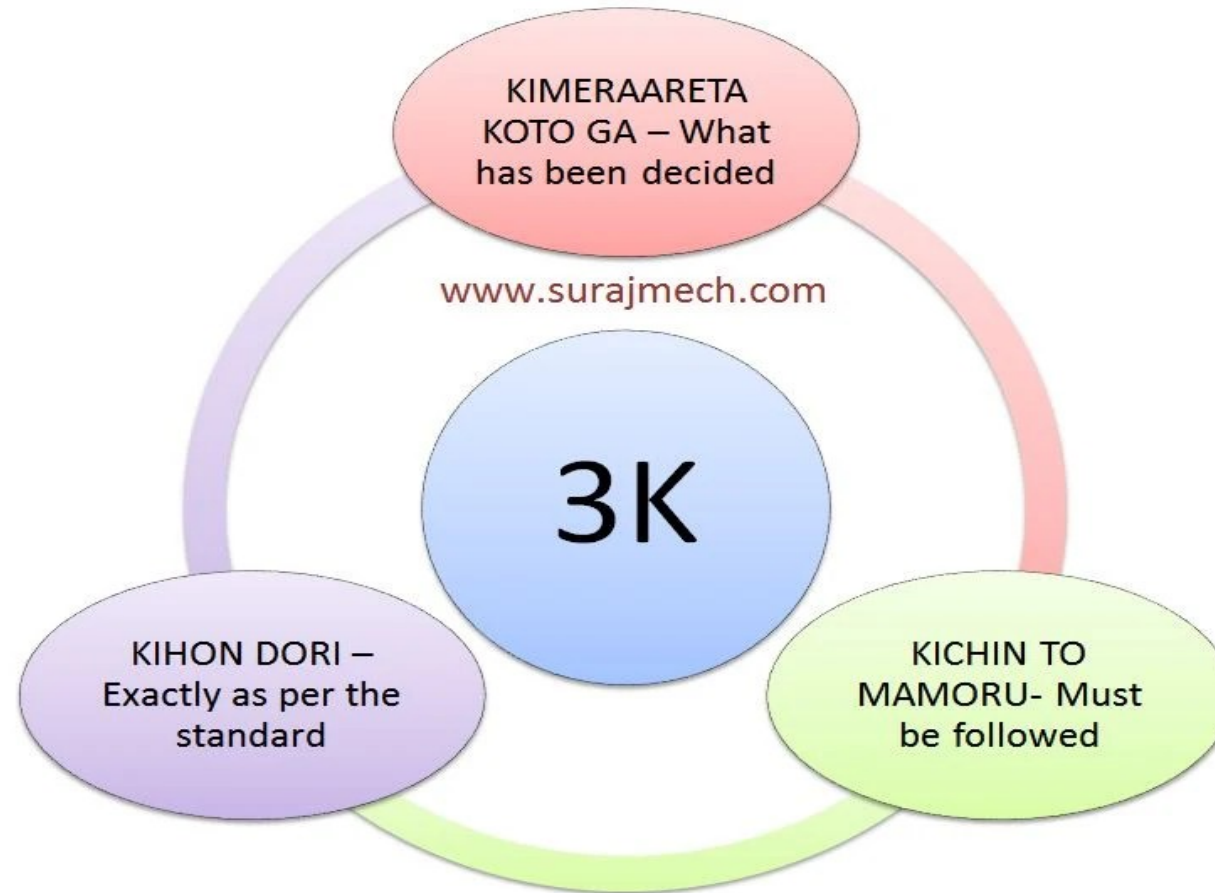
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Advantages of 3 K

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EVOLUTION OF OPERATIONS MANAGEMENT



Introduction to Management –Planning

Prof Mayank Pareek

Business News Headlines

VC funding boosts startup ecosystem

RRP Semiconductor Ltd : Return in 2025: Approximately 5,769% gain ; Jumped from about ₹185.50 to ₹10,887.10 during the year

India's data centre capacity doubled in 2025, reflecting massive cloud, 5G, and enterprise technology buildouts

For the first time since the 1970s, coal-based electricity generation fell in both China and India, due largely to record renewables deployment — a major shift in the energy mix toward cleaner sources.

OpenAI invests in brain-computer interface startup; OpenAI led a \$252 million investment in Merge Labs, a startup focused on non-invasive brain-computer interface (BCI) tech, placing it at the intersection of AI and neuroscience

Company	Segment	Outcome	Strategic Mistake
Aditya Birla Retail	Grocery/Fashion	Mixed	Unclear positioning
Reliance Fresh	Grocery	Corrected	Ignored local habits
Reliance Retail	Multi-format	Success	Early ecosystem conflict
Future Retail	Hypermarket	Failed	Debt-driven growth
Subhiksha	Discount retail	Failed	Overexpansion

Operational Planning

- Day to Day or routine planning
- Time Frame : Daily/ Weekly/Monthly
- Purpose : Ensure smooth operation of business
- Examples: Scheduling production

Tactical Planning

- Short term planning translating Strategic Plans into specific actions
- Time Frame : 1 to 3 Years
- Purpose : Resource Allocation and define departmental objectives
- Example : Marketing Team's plan for international expansion

Strategic Planning

- Long Term Plan Focussed on overall organisation Goals and Direction
- Time Frame : 3 to 5 Years
- Purpose : Define Mission, Vision and Over all Purpose
- Example : Digital Transformation in company

TOOLS USED FOR STRATEGIC PLANNING

Balanced Scorecard Concept

Published by Bob Kaplan in 1992

Traditional Accounting Measurements are obsolete

Provide BALANCE to Financial perspective

Why Balance Score Card

Improving organizational performance by measuring what matters

Increased focus on strategy and results

Align organisational strategy with day to day work

Focus on drivers key to future

Prioritize projects and initiatives

Four (4) original business perspectives

Financial : To succeed Financially what should we measure?

Customer Focus: To achieve our vision how should we appear to our customers?

Internal Business Processes : To satisfy our stakeholders and customers

Learning & Growth : Sustain our ability to change adopt and improve

Four (4) original business perspectives

Financial : ROCE; EVA; Profitability, Sales Growth; Cash Flow

Customer Focus: CS; Retention; Acquisition; Market Share,

Internal Business Processes : Operations; Quality; Processes; Innovation; Warranty

Learning & Growth : Employees Satisfaction; Retention; Skills; Morale

TML BSC for the year 2023-34

- Financial : Increase revenues & profitability : Net Revenue, Profit Margin, Cash Flow
- Customer : Build customer / brand value; lead in EV and sustainability : NPS; CSI; Customer Retention
- Internal Processes : Operational efficiency, emissions / sustainability, supply chain resilience : Emission; New Patents; CoO; Quality
- Learning & Growth : Employee capability, sustainability culture, innovation, ESG leadership : ESI; Training; R&D; ESG

Balance scorecard : Pitfalls and criticism

Lack of well defined strategy

To much focus on lagging measures

Use of generic metrics

Self serving managers

TOOLS USED FOR STRATEGIC PLANNING

What is Business Portfolio Analysis?

- It is the evaluation of a company's different Strategic Business Units (SBUs) or product lines to determine:
- Where to invest, grow, or divest
- Which products/businesses are stars vs. dogs
- How to balance risk and returns

GE PORTFOLIO MATRIX



Introduction to Management –Planning

Prof Mayank Pareek

Budget Simplified

Gross Tax Revenue (GTR) : The total tax collected by the central government before sharing it with state governments. It includes direct taxes (income tax, corporate tax) and indirect taxes (GST, customs duty).

Direct Tax : Taxes paid directly by individuals or organizations to the government, such as income tax and corporate tax.

Indirect Tax : Indirect taxes are taxes levied on goods and services, like GST and customs duty.

Gross Tax Revenue (GTR) *budget estimate* of the Government of India was projected at approximately **₹42.70 lakh crore**. +8%

Direct Taxes — ~₹25.20 lakh crore +12% ; **Indirect Taxes** — ~₹17.50 lakh crore ; 0%

Budget Simplified

Fiscal Deficit : Deficit is the excess of **total expenditure** over **total receipts**

Fiscal Deficit = Total Expenditure – (Revenue Receipts + Non-debt Capital Receipts)

Total Government Receipts (A) (excluding borrowings): ~₹34.96 lakh crore

Total Government Expenditure (B): ~₹50.65 lakh crore

Fiscal Deficit : A-B : 15.69 Lakh Crore

Budget Simplified

Revenue Deficit : Deficit occurs when the government's **revenue expenditure** (salaries, Subsidies, Interest Payments) is more than its **revenue receipts ((Tax+Dividend))**. Revenue Deficit = Revenue Expenditure – Revenue Receipts

Total Revenue receipt (A): Rs 25.18 Lakh Crore

Total Revenue Expenditure (B): Rs 32.20 Lakh crore

Fiscal Deficit : A-B : 7.02 Lakh Crore

Budget Simplified : Sectoral Allocation

Capital Expenses Allocation : Rs 12.2 Lakh Crore ; +12%

Defence: Rs 5.94 Lakh Crore ; +21%

Energy Sector : Rs 1.08 Lak Crore : +31%

Education Sector : Rs 1.39 Lakh Crore :+9%

Health Sector : Rs 1.04 Lakh Crores : +7%

Subsidies (Food) : Rs 2.27 Lakh Crores : +12%

Business News Headlines

India –EU sign FTA; India and EU eliminate Tariff on 96-97% imports; Total trade USD 200 bn

India Benefits : Manufacturing, IT, ITES, Textiles, Gems, Pharma, Chemicals

US lowers Tariff on Indian Goods to 18%

Oracle laying off 30000 Employees; Reorganising because of AI

Space X to open Data centres in Space; Applies for launching 1 Million satellites in Space

Business News Headlines

Historic India-EU Free Trade Agreement Finalised

Adani-Embraer Aerospace Partnership : To establish regional aircraft manufacturing in India, marking a significant move into commercial aircraft production and boosting

Indian Markets Slide Over Global Pressures : Sensex and Nifty — fell more than 4% during January amid foreign investor sell-offs, a weaker rupee, and global uncertainties that dampened market sentiment.

There were signals of **slower net hiring** among major Indian IT firms — a sign of a shift toward automation, AI skill demands, and structural change in employment —

Government **Production Linked Incentive (PLI) schemes** — especially in electronics and white goods — continued to drive manufacturing investments, export growth and job creation.

Company	Segment	Outcome	Strategic Mistake
Aditya Birla Retail	Grocery/Fashion	Mixed	Unclear positioning
Reliance Fresh	Grocery	Corrected	Ignored local habits
Reliance Retail	Multi-format	Success	Early ecosystem conflict
Future Retail	Hypermarket	Failed	Debt-driven growth
Subhiksha	Discount retail	Failed	Overexpansion

Operational Planning

- Day to Day or routine planning
- Time Frame : Daily/ Weekly/Monthly
- Purpose : Ensure smooth operation of business
- Examples: Scheduling production

Tactical Planning

- Short term planning translating Strategic Plans into specific actions
- Time Frame : 1 to 3 Years
- Purpose : Resource Allocation and define departmental objectives
- Example : Marketing Team's plan for international expansion

Strategic Planning

- Long Term Plan Focussed on overall organisation Goals and Direction
- Time Frame : 3 to 5 Years
- Purpose : Define Mission, Vision and Over all Purpose
- Example : Digital Transformation in company

TOOLS USED FOR STRATEGIC PLANNING

Balanced Scorecard Concept

Published by Bob Kaplan in 1992

Traditional Accounting Measurements are obsolete

Provide BALANCE to Financial perspective

Why Balance Score Card

Improving organizational performance by measuring what matters

Increased focus on strategy and results

Align organisational strategy with day to day work

Focus on drivers key to future

Prioritize projects and initiatives

Four (4) original business perspectives

Financial : To succeed Financially what should we measure?

Customer Focus: To achieve our vision how should we appear to our customers?

Internal Business Processes : To satisfy our stakeholders and customers

Learning & Growth : Sustain our ability to change adopt and improve

Four (4) original business perspectives

Financial : ROCE; EVA; Profitability, Sales Growth; Cash Flow

Customer Focus: CS; Retention; Acquisition; Market Share,

Internal Business Processes : Operations; Quality; Processes; Innovation; Warranty

Learning & Growth : Employees Satisfaction; Retention; Skills; Morale

TML BSC for the year 2023-34

- Financial : Increase revenues & profitability : Net Revenue, Profit Margin, Cash Flow
- Customer : Build customer / brand value; lead in EV and sustainability : NPS; CSI; Customer Retention
- Internal Processes : Operational efficiency, emissions / sustainability, supply chain resilience : Emission; New Patents; CoO; Quality
- Learning & Growth : Employee capability, sustainability culture, innovation, ESG leadership : ESI; Training; R&D; ESG

Balance scorecard : Pitfalls and criticism

Lack of well defined strategy

To much focus on lagging measures

Use of generic metrics

Self serving managers

TOOLS USED FOR STRATEGIC PLANNING

What is Business Portfolio Analysis?

- It is the evaluation of a company's different Strategic Business Units (SBUs) or product lines to determine:
- Where to invest, grow, or divest
- Which products/businesses are stars vs. dogs
- How to balance risk and returns

GE PORTFOLIO MATRIX



TOOLS USED FOR STRATEGIC PLANNING

BCG Matrix

- A strategic tool used to evaluate a company's business units or products based on:
- Market Growth Rate (Industry attractiveness)
- Relative Market Share (Competitive strength)
- Helps in resource allocation and portfolio management.

BOSTON CONSULTING GROUP MATRIX



BCG Matrix : Strategic Options

- **Stars** : High growth, high market share Profitable, but need high investment to sustain : **Invest & grow**
- **Cash Cows** : Low growth, high market share Stable, generate cash to fund other units : **Harvest & Maintain**
- **Question Marks** : High growth, low market share Potential to become Stars or fail : **Selectively Invest or Divest**
- **Dogs** : Low growth, low market share Weak products, minimal profits : **Divest**

Advantages and Uses of BCG Matrix

- Simple and easy to understand
- Helps in resource allocation
- Focuses on market position
- Supports strategic planning
- Identifies cash flow patterns
- Useful for portfolio analysis
- Helps in performance evaluation

Task : Reliance Industries Limited

- Reliance Retail : Industry Growth Modest; Company Growth Fast, Lag
- Reliance Jio ; Industry Growth Modest; Company Fast and Leader
- Reliance Petrochemicals : Industry slow; Company Slow but leader
- Reliance Textile : Industry Slow; Company Small and slow

TOOLS USED FOR STRATEGIC PLANNING

Porter's Five Forces model is used to

- analyze the competitive structure of an industry** and
- understand how attractive or profitable that industry is.
- It helps businesses figure out **where pressure and competition come from** before making strategy decisions.

Where to use Porter's Model

Decide **pricing strategy**

Choose **cost vs differentiation**

Avoid unattractive industries

Plan expansion or exit

Prepare competitive responses

Porter's Five Forces Model – Overview

- It helps analyse the competitive forces that shape every industry, impacting profitability and strategy.
- Porter's Five Forces when:
- Entering a new industry
- Assessing competition
- Making investment decisions
- Developing a market entry or pricing strategy

First Force : Threat of New Entrants

- Threat of New Entrants
- Economies of Scale
- Brand Loyalty
- Government Regulations
- Distribution
- Switching Cost

Second Force :Bargaining Power of Suppliers

- Number of suppliers (fewer = more power)
- Uniqueness of product/service
- Switching costs for firms
- Dependency on the supplier

Third Force : Bargaining Power

- Bargaining Power of Buyers
- Number of buyers vs. sellers
- Purchase volume per buyer
- Availability of alternatives
- Price sensitivity

Fourth Force : Threat of Substitute Products or Services

- Availability of substitutes
- Performance vs. price of substitutes
- Switching cost for customers
- Innovation or disruption

Fifth Force : Industry Rivalry (Competitive Rivalry)

- Number and strength of competitors
- Industry growth rate
- Product differentiation
- Exit barriers
- Brand loyalty

Civil Aviation Industry

- **Threat of new entrants:** Low (high capital, regulation, aircraft costs)
- **Supplier power:** High (few aircraft makers like Boeing & Airbus; fuel suppliers)
- **Buyer power:** High (customers compare prices easily online)
- **Threat of substitutes:** Medium (trains, buses, video conferencing)
- **Rivalry:** Very high

E commerce Business

New entrants: Medium (tech is easy, scale is hard)

Supplier power: Low–Medium (many sellers)

Buyer power: Very high (price comparison, low switching cost)

Substitutes: High (offline retail, D2C brands)

Rivalry: Intense

Introduction to Management

Business News Headlines

SBI Surpasses TCS in Market Cap

Walmart achieves USD 1 trillion market cap; First non tech company

AI Investment Surge & Market Impact – Big global tech companies announced over \$600 billion in AI capital expenditures

In 2025, in EU renewable energy (30%) over took thermal energy (29%) for the first time

A typical AI-ready (hyperscale) data centre can draw 100 MW or more of continuous power — enough to power ~100,000 average homes



Some Basic Financial Terms

Assets ?

An asset is basically something valuable that a person, company, or organization owns or controls, which can provide future economic benefits.

Fixed Assets?

A fixed asset is a type of long-term asset that a company or individual owns and uses in its operations for an extended period, usually more than a year, and is not intended for immediate sale.

In short, it's something physical or tangible that helps a business generate income over time.

Characteristics of FA

Long-term use – Used for more than one accounting period (typically a year or more).

Not for resale – Unlike inventory, it's not meant to be sold as part of normal business

Tangible or intangible – Mostly physical (land, machinery), but sometimes intangible

Depreciation applies – Fixed assets lose value over time (except land) due to wear and tear.

Examples of FA

Land and Buildings – Office, factory, warehouse

Machinery and Equipment – Production machines, printers, vehicles used for business

Furniture and Fixtures – Office desks, chairs, shelves

Computers and IT Systems – Hardware, sometimes software

Current Assets

Current assets are assets that a business expects to convert into cash, sell, or use up **within one year** (or within the company's operating cycle, whichever is longer).

They are short-term resources that help a company manage its day-to-day operations.

Characteristics of CA

Short-term in nature – Usually within 12 months.

Easily convertible to cash – They can be quickly sold or used.

Used for daily operations – They help fund ongoing business activities.

Examples of CA

Cash and cash equivalents – Actual cash, bank balances, short-term deposits

Accounts receivable – Money owed by customers

Inventory – Raw materials, work-in-progress, finished goods

Short-term investments – Stocks, bonds, or other investments expected to be sold within a year

Prepaid expenses – Payments made in advance for services (like insurance or rent)

Tangible Assets

Tangible assets are physical assets that you can see, touch, or feel, which are owned by a business or individual and have economic value. They are used in operations or held as investments

Characteristics of TA

Physical form – You can physically touch or measure them.

Economic benefit – They help generate revenue or can be sold for cash.

Depreciable (usually) – Most tangible assets lose value over time (except land).

Owned and controlled – The business has legal rights to use or sell them.

Examples of TA

- Cash, Inventory, ST investment
- Buildings, Plant and M/c
- Oil Reserves, RM
- Computers, Servers

Intangible Assets

Intangible assets are non-physical assets that a business owns, which cannot be touched or seen, but have value because they give the business future economic benefits

Characteristics of ITA

No physical substance – You cannot touch or hold them.

Provide economic benefit – Help generate revenue or give a competitive advantage.

Can be bought, sold, or licensed – Some can be transferred.

Amortization applies – Most intangible assets lose value over time,

Examples of ITA

- Intellectual Property : Patent, Copyright
- Brand Value and Reputation : Logo, Trade Mark
- Software and Licences
- Customer Relationships, Loyalty Program

Assets

Tangible Assets

Current Assets

cash
cash equivalents
accounts receivable
stock inventory
short-term investments

Fixed Assets

buildings
machinery
computer equipment
tools
furniture

Intangible Assets

goodwill
patents
copyrights
trademark
brand recognition
business methodologies



Liability

- A liability is basically a legal or financial obligation that a person or business owes to someone else, usually as a result of borrowing money, buying goods/services on credit, or other commitments.
- In simple terms: **Liabilities are what you owe.**

Characteristics of Liability

Present obligation – You are currently responsible for paying or settling it.

Arises from past events – Like borrowing money, receiving goods on credit, contracts.

Settlement usually involves money, goods, or services – Most often cash



Liability

[,lī-ə-'bi-lə-tē]

Something a person or company owes, usually a sum of money.



Current Liabilities

[kʌr-ənt ,li-ə-'bi-lɪ-teez]

The short term obligations that are expected to be paid within one year, such as accounts payable.

Current Liabilities

Current liabilities are short-term financial obligations that a business must pay within one year or within its operating cycle, whichever is longer.

They represent what the company owes in the near future.

Characteristics of Current Liabilities

Short-term obligation – Usually due within 12 months.

Settled using current assets – Paid with cash, inventory, or other resources.

Arises from past transactions – Like purchasing goods/services on credit or borrowing ST

Examples of Current Liabilities

- Money owed to suppliers for goods or services
- Bank overdrafts, short-term borrowings
- Salaries payable, rent payable, utilities payable
- Income tax, or other government taxes due
- Payments received for goods/services not yet delivered

Long Tem Liabilities

Long-term liabilities are financial obligations or debts that a business must pay after more than one year (or beyond the company's normal operating cycle). They represent money the company owes in the long run.

Due after one year

Usually larger obligations – Often used to finance major projects or investments.

Arise from past transactions or contracts – Like loans, bonds, or lease agreements

Examples of LT Liabilities

- Loans & Borrowings
- Bonds Payable
- Legal Obligations
- Pensions & Retirals
- Deferred Tax Liabilities

Contingent Liabilities

- A contingent liability is a potential obligation that may arise in the future, depending on the outcome of a certain event.
- In other words, it's a “maybe liability” — the company might have to pay, but it's not certain yet
- Depends on a future event, Lawsuit
- Disclosed in Financial Statements
- **Assessment needed** – Companies evaluate the **likelihood** and **amount** to determine reporting.

Examples of Contingent Liabilities

- A company is being sued; if it loses, it will have to pay damages.
- Warranty Claims : Liability arises only if a customer claims under warranty.
- Company guarantees a loan of another entity; liability occurs if they default.
- Potential tax payment if a dispute is resolved unfavorably.



Contingent Liability

[kən-'tin-jənt lī-ə-'bi-lə-tē]

A liability that may occur depending on the outcome of a future event.

ASSETS VS. LIABILITIES

Assets



Items of value



Business owns the items



Generates revenue for the business



Provide long-term benefits to the business

Liabilities



Debts the business owes to another entity



Can be used to purchase assets



May help finance business operations



Are an expense for the business

Assets vs Liabilities

Characteristics	Assets	Liabilities
1 Definition	Owned	Owed
2 Purpose	Help Generate Revenue	Represents claims on Co
3 Effect on Fin	Positive	Negative
4. Types	CA/FA/TA/ITA	CL/LT/Con Liabilities

What is an Expense?



Expenses

An expense is a cost incurred by a business or individual in order to earn revenue or operate.

In simple terms: Expenses are what a business spends to run its operations or generate income

Reduce Profit

Arise from Business operations

Time Related, accrual principle

Operating Expenses

- Operating expenses (OPEX) are the day-to-day costs a business incurs to run its core operations,
- In short: these are the expenses required to keep the business running on a daily basis.
- Related to daily operations
- Recurring in nature
- Direct Impact on profit

Examples of OPEX

- Salaries & Wages
- Rent & Utilities
- Marketing Expenses
- Supplies & Maintenance
- Insurance & Legal

Capital Expenses (CAPEX)

- CAPEX stands for Capital Expenditure. It is the money a business spends to buy, upgrade, or maintain long-term assets that will benefit the company over several years.
- In simple terms: CAPEX = spending on assets that help the business grow or operate in the long term.
- Provides LT benefits
- Not a regular expense
- Used for growth

Examples of CAPEX

- Buying office buildings, warehouses, factories
- Production machines, vehicles, computers
- Software licenses, IT infrastructure, servers
- Purchasing land, constructing factories
- Renovating offices, upgrading machinery

Cost?

- A cost is the monetary value of resources used or sacrificed to produce a good, provide a service, or run a business.
- In simple terms: Cost = what it takes (money, materials, labor) to make or do something.
- Represents resource consumption – Money spent, materials used, or time consumed.
- Associated with production or operation – Can relate to making products, delivering services, or running a business.
- Used for decision-making – Helps businesses set prices, budget, and calculate profit.

Direct Cost

- Direct cost is a cost that can be directly traced to a specific product, service, or project. It's the expense directly tied to producing goods or delivering a service
- Directly attributable – You can assign it straight to a product or project.
- Varies with production – Increases as production increases, decreases when production falls.
- Helps calculate product cost – Essential for pricing, budgeting, and profitability analysis.

Examples of Direct Cost

- Raw materials used in production (e.g., wood for furniture, steel for cars)
- Wages of workers directly involved in production
- Components, packaging, freight for raw materials
- Fuel and Gas
- Factory Rent

Introduction to Management

Business News Headlines

India's tech industry is projected to grow **~6.1 % in FY26 to ~USD 315 billion**, with AI-related solutions contributing **\$10–12 billion** of that, according to **Nasscom**

Hiring & cybersecurity focus is rising. AI security and workforce strategy headlines show the sector adapting to new tech challenges

Rare earth magnet production push : India plans domestic production of **rare-earth permanent magnets** by year-end, a strategic move to bolster manufacturing of EVs, aerospace and renewable tech components

IMF and World Bank outlooks – Projected moderate global growth (around mid-3 % range for 2026), Risks from trade tensions, debt burdens, and weaker productivity

Huge one-day drop: On **February 23 and 24, 2026**, IBM's stock fell about **13.1–13.2% in a single session**, marking the **worst daily decline in over 25 years**, closing around **~\$223 per share**. This wiped out roughly **\$30 billion – \$40 billion of its market value** in one go.

Non Cash Charge

- A non-cash charge is an accounting expense recorded in the books that does not involve an actual cash outflow.
- Non-cash charge = an expense that reduces profit on paper, but no money actually leaves the business.
- Key Features of Non-Cash Charges
 - No cash payment – It's an accounting entry, not a real payment.
 - Reduces reported profit – Affects the income statement but not the cash flow directly.
 - Reflects asset usage or obligations – Usually related to depreciation, amortization, or provisions.

Examples of Non Cash Charge

- Depreciation : Allocating the cost of machinery, buildings, or equipment over their useful life
- Amortization : Gradual expense of intangible assets like patents or software
- Provisions : Accounting for potential future losses (e.g., bad debt provision)
- Stock Options : Employee stock options recorded as expense

What Is Depreciation?

It is the gradual reduction in the value of a fixed asset over time due to use, wear and tear, or obsolescence.

In accounting, it means spreading the cost of an asset over its useful life instead of charging the full cost in the year it was purchased.

For example, if a company buys equipment for Rs 1,000,000 expected to last 10 years, it does not record the entire Rs 1,000,000 as an expense immediately. Instead, it allocates the cost across 10 years.

Why Depreciation?

Assets lose value over time : Machines, vehicles, and equipment wear out or become outdated.

To show the real profit : Instead of recording the full cost in one year, spread the cost over use.

To match cost with use : If asset is used for many years, cost should be shared over those years.

For tax purposes : Depreciation reduces profit on paper, which can reduce tax.

Ways of Calculating Depreciation

-

Simple Example – Straight-Line Method

-

Ways of Calculating Depreciation

Declining Balance Method (Reducing Balance Method)

Applies a fixed percentage to the asset's book value each year.

Higher depreciation in early years

Lower depreciation in later years

Suitable for assets that lose value quickly (e.g., technology)

Example Declining Balance Method

- A company buys equipment for **Rs 100,000**.
Useful life = **5 years**.
Depreciation rate = **20% per year** (fixed rate).
- In the declining balance method, we apply the percentage to the **book value each year**, not the original cost.
- **Year 1**
 - 20% of 10,000 = **RS 20,000**
Book value at end of Year 1 = $100,000 - 20,000 = \text{\$}80,000$
- **Year 2**
 - 20% of 80,000 = **Rs 16,000**
Book value at end of Year 2 = $80,000 - 16,000 = \text{64000}$
- **Year 3**
 - 20% of 64000 = **Rs 12800**
Book value at end of Year 3 = $64000 - 12800 = \text{51200}$

Declining Balance Method

Key Point:

Depreciation **decreases each year.**

It is always calculated on the **remaining book value.**

Higher expense in early years, lower in later years.

Ways of Calculating Depreciation

-

Example : Units of Production Method

-

Most Profitable Companies

Global Companies

Alphabet : USD 125 BN

Apple : USD 105 BN

Microsoft : USD 100 BN

Indian Companies

Reliance : USD 8.4 BN

SBI : USD 8.0 BN

HDFC : USD 7.7 BN

Top loss making Indian Start ups

Swiggy	Rs 3116 Crore
Ola Electric	Rs 2276 Crore
Big Basket	Rs 2008 Crore
Phone Pe	Rs 1727 Crore
PharmEasy	Rs 1516 Crore

What Is Profit?



Ola Electric : Q3 FY 26

- **Revenue from operations: ₹470 crore** (consolidated) — this is the money the company earned from selling vehicles and services in the quarter.
- **Net loss: ₹487 crore** — total expenses exceeded revenue, resulting in a loss.
- **Operating expenses: around ₹432 crore** — this is what the company spent on running its business in the quarter (manufacturing, marketing, admin, etc.).
- Share Price at IPO, 9th Aug 2024 : Rs 76 Per share
- Share Price on 25th Feb : Rs 25 per share

Types of Profit : Gross Profit

-

Cost of Good Sold (COGS)

-

Types of Profit : Operating Profit

-

Types of Profit : Net Profit (Net Income)

-

Introduction to Management

Business News Headlines

Oil price shock rattles financial markets worldwide : Brent crude surged close to \$120 per barrel, driving inflation fears and pushing investors away from risk assets like stocks.

Sensex : Feb 26 : 84000 Mar 26 : 76000 ; 9% Decline ; USD 5 Trillion (USD 450 Billion)

Global tech companies have cut over 35,000 jobs worldwide in early 2026 as firms restructure around AI-driven automation and cost efficiencies, highlighting industry stress points despite AI demand.

Stagflationary pressures mounting in global economy — Rising oil prices, weak jobs data and persistent inflation are raising concerns of stagflation, with markets reacting unevenly as credit and debt risks grow.

Airbus xpands engineering and tech services in India — Airbus inaugurated a new 5,000-seat technology and engineering centre in Bengaluru, reinforcing workforce and R&D capabilities in aerospace engineering and digital services

Types of Profit : Windfall Profit

Windfall profit is an **unexpected or unusually large profit**, often arising from **external factors** like a sudden market boom, price surge, or government policy — not from regular business operations.

It's **temporary and extraordinary**, not a regular operating profit.

- **Example:**

An oil company owns wells. Crude oil prices suddenly jump due to geopolitical tension.

The company earns an **extra ₹500 crore** profit because of the price spike.

This extra ₹500 crore is called a **windfall profit**.

Other examples:

Lottery winnings for a company (rare sponsorship revenue)

Selling land/property bought long ago at a very high price

Some common terms used for profit

- EBIDTA : Earnings Before Interest, Depreciation, Tax and Amortization
- Focus on core Operating Performance ignoring accounting adjustments
- Comparisons across companies
- Cash Available
- Valuation Matrix

Some common terms used for profit

EBIT : Earnings Before Interest & Tax

Measures Operating Profitability :Shows how profitable the core business is, independent of financing (interest) and tax strategy.

EBIT allows comparison of companies regardless of capital structure.

Debt Service Assessment

Lenders often look at EBIT to see if a company can cover interest payments comfortably.

Investors can evaluate a company's profitability from operations before external factors like taxes and loans affect the bottom line.

Types of Profit : Economic Profit

- Profit after accounting for both explicit and implicit costs, including the opportunity cost of using resources in one way instead of the next best alternative.
- Explicit costs → Actual out-of-pocket expenses (wages, rent, raw materials)
- Implicit costs → Opportunity costs (what you could have earned elsewhere with the same resources)
- Formula:
- $\text{Economic Profit} = \text{Total Revenue} - (\text{Explicit Costs} + \text{Implicit Costs})$
- It shows whether the business is truly adding value over and above the next best alternative.

Economic Profit

Example

- You own a shop:
 - Total Revenue: ₹10,00,000
 - Explicit costs (rent, wages, utilities): ₹7,00,000
 - Implicit cost (you could have earned ₹2,00,000 working elsewhere): ₹2,00,000
- $\text{Economic Profit} = 10,00,000 - (7,00,000 + 2,00,000)$
 $= ₹1,00,000$
- If total revenue was ₹9,00,000 instead, economic profit = ₹9,00,000 – 9,00,000 = 0 → You are just **breaking even economically**, even if accounting profit is ₹2,00,000.

Implications of Economic Profits

Decision-Making Tool

Helps decide if resources are **better used elsewhere**.

Positive economic profit → business is adding value beyond opportunity costs.

Zero economic profit → resources could earn the same elsewhere.

Long-Term Sustainability

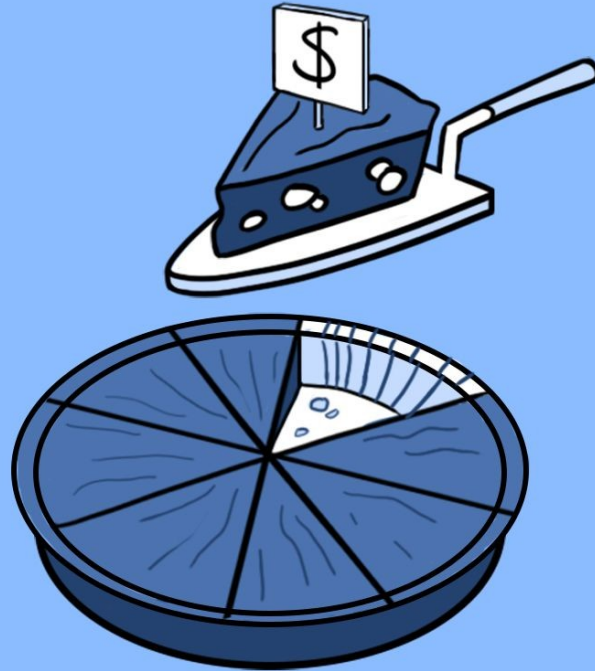
Only businesses with **positive economic profit** can attract investment and grow sustainably.

Pricing and Strategy

Understanding opportunity costs helps in **pricing products or choosing projects** wisely.

Comparison with Accounting Profit

A company may show **high accounting profit**, but negative economic profit → **hidden opportunity costs**.



Profit Margin

['prä-fət 'mär-jən]

A measure of a company's profitability, expressed as the percentage of revenue that the company keeps as profit.

Implications of Profit Margin

Efficiency Indicator

- Shows how well a company controls costs relative to sales.
- Higher margin → better cost control and pricing power.

Comparability

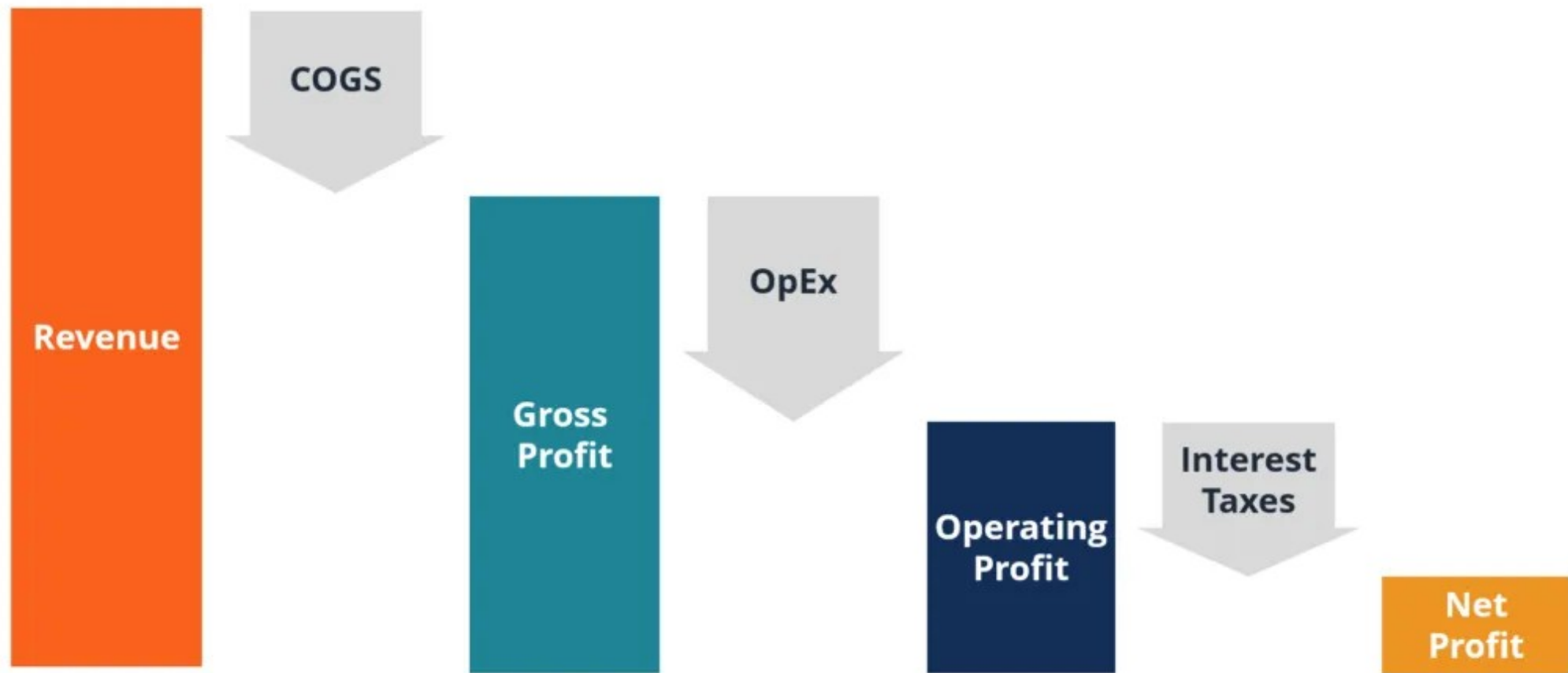
- Useful to compare companies in the same industry, regardless of size.
- Example: Two firms with ₹10L revenue — 15% margin vs 25% margin → 25% is more profitable per sale.

Investment Insight

- Investors often check net profit margin to assess returns.

Business Strategy

- Low margin → may indicate need to reduce costs or raise prices.
- High margin → company can invest, expand, or withstand downturns.



“

Revenue is vanity, profit is sanity,
but cash is king.

#CASHFLOW

Terms Used in Finance : Liquidity

- It is ability of a company or individual to quickly convert assets into cash to meet short-term obligations without significant loss of value.
- High liquidity: Assets can be easily converted to cash (e.g., cash, bank deposits, marketable securities).
- Low liquidity: Assets take longer to convert into cash or may lose value (e.g., machinery, land).
- Key point:
- Liquidity focuses on short-term financial health, not long-term profitability.

Implications of Liquidity

Solvency & Financial Safety

High liquidity ensures a company can **pay its bills, salaries, and short-term debts** on time.
Low liquidity increases **risk of default** or cash flow problems.

Investment & Growth

Companies with sufficient liquidity can **take advantage of opportunities**,

Creditworthiness

Lenders and suppliers check liquidity ratios before granting loans or credit.
Good liquidity → easier access to short-term credit.

Risk Management

Liquidity cushions the business during **economic downturns or unexpected expenses**.

Cash Flow

- **Cash Flow** is the **movement of cash into and out of a business** over a specific period.
- **Inflows:** Money coming in (sales revenue, loans, investments)
- **Outflows:** Money going out (expenses, debt repayment, asset purchases)

- Cash flow shows **actual liquidity** — the cash a company has to meet its obligations, unlike accounting profit which may include non-cash items like depreciation.

- **Types of Cash Flow:**
 - **Operating Cash Flow:** Cash from core business operations (selling goods/services).
 - **Investing Cash Flow:** Cash spent or earned from buying/selling assets (machinery, land, investments).
 - **Financing Cash Flow:** Cash from raising or repaying capital (loans, issuing shares, paying dividends).

SOM101 Startup

Cash flow Statement

Month ended 31st December 2025

ITEM	Amount in INR	
Net Income	Rs 100000	(a)
Depreciation	Rs 20000	(b)
Increase in Accounts Payable	Rs 10000	(c)
Increase in Accounts receivable	(Rs 20000)	(d)
Increase in inventory	(Rs 30000)	(e)
Net Cash from Operations	Rs 80000	$F=(a)+(b)+(c)-(d)-(e)$
Purchase of equipment	(Rs 20000)	(g)
Notes Payable	Rs 8000	(h)
Cash Flow for month ended 31 st December 2024	Rs 68000	$I= F-(g)+(h)$

Financial Statements



Financial Statements

Profit & Loss Statement/Income Statement

Balance Sheet Statement

Cash Flow Statement

Characteristics of ideal Financial Statements

Relevance

Reliable

Understandability

Comparability



P&L Statements

Financial Statement that outlines a company's

Revenue

Costs

Expenses

Over a specified period of time

Characteristics of P&L Statements

To know the trading results

To check the profitability

To know the expenses

To compare the results

It is a statement for a period

Example Corporation
Income Statement
Year ended December 31, 20xx

Operating revenues	\$ xxxx
Operating expenses	<u>xxx</u>
Operating income	xxx
Nonoperating revenues, expenses, gains, losses	<u>x</u>
Income before income tax expense	xxx
Income tax expense	<u>x</u>
Net income	<u><u>\$ xx</u></u>

See notes to the financial statements.

SOM101 : INCOME STATEMENT for the year ending 31 Dec 2025

Description	Amount (INR)	
Sales	1,000,000	A
COGS	750,000	B
Gross Profit	250,000	$C=A-B$
Operating Expenses	75,000	D
Selling	50,000	E
Administrative Expenses	35,000	F
Total Operating Expenses	160,000	$G=D+E+F$
Income from Operations	90,000	$H=C-G$
Non Operating Expenses		
Interest On Loans	10,000	I
Pre Tax Income	80,000	$J=H-I$
Income Tax @25%	20,000	$K=J*0.25$
Net Income	60000	$L=J-K$

Some Inferences that can be drawn

Gross Profit Margin = $\text{Gross Profit} / \text{Total Revenue} * 100 = C/A\% = 25\%$

Operating Profit Margin = $\text{Total Income from Operations} / \text{Total Revenue} = H/A\% = 9\%$

Net Margin = $\text{Net Profit} / \text{Total Revenue} = L/A\% = 6\%$

SOM101 : INCOME STATEMENT for the year ending 31st Dec 2025

Description	Amount (INR)	Year Ending 31 st
Sales	1,000,000	800,000
COGS	750,000	700,000
Gross Profit	250,000	100,000
Operating Expenses	75,000	70,000
Selling	50,000	30000
Administrative Expenses	35,000	35000
Total Operating Expenses	160,000	135,000
Income from Operations	90,000	(35000)
Non Operating Expenses		
Interest paid On Loans	10,000	10,000
Pre Tax Income	80,000	(45,000)
Income Tax @25%	20,000	0
Net Income	60000	(45000)

Some Inferences that can be drawn

Gross Profit Margin = 12.5% (2023) ; 25.0% (2024)

Operating Profit Margin = (3.5%) in 2023; 9% (2024)

Net Margin = (4.5%) in 2023 ; 6% (2024)

Total Revenue/Sale= Increase by 25%

Total Operating Expense = Increase by 18%

Some Inferences that can be drawn

Sales increase 25%

COGS up by 7%

Gross Profit by 150%

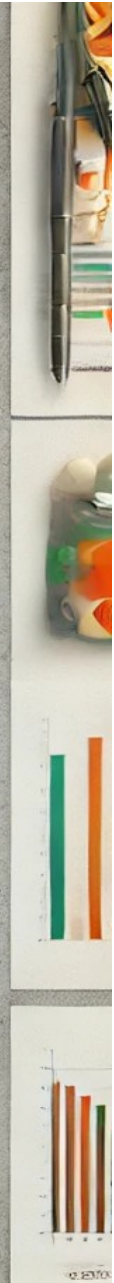
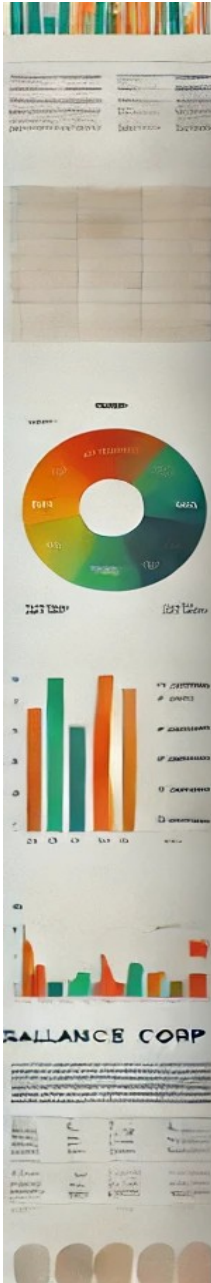
High Fixed cost; Marginal Cost coverage

P&L OF TATA MOTORS

QUARTERLY RESULTS OF TATA MOTORS (in Rs. Cr.)		◀	MAR '23	DEC '22	
Net Sales/Income from operations			105,016.70	88,488.59	19%
Other Operating Income			915.65	--	
Total Income From Operations			105,932.35	88,488.59	
EXPENDITURE					
Consumption of Raw Materials			60,211.94	53,355.87	12%
Purchase of Traded Goods			6,247.69	5,471.30	
Increase/Decrease in Stocks			1,734.75	-1,368.63	
Power & Fuel			--	--	
Employees Cost			9,377.52	8,592.90	9%
Depreciation			7,050.20	6,071.78	16%
Excise Duty			--	--	
Admin. And Selling Expenses			--	--	

P&L Tata Motors Contd

Other Expenses	15,246.05	11,616.91	31%
P/L Before Other Inc., Int., Excpt. Items & Tax	6,064.20	4,748.46	28%
Other Income	1,576.93	1,130.38	39%
P/L Before Int., Excpt. Items & Tax	7,641.13	5,878.84	30%
Interest	2,641.67	2,675.83	
P/L Before Exceptional Items & Tax	4,999.46	3,203.01	
Exceptional Items	-215.32	-0.40	
P/L Before Tax	4,784.14	3,202.61	
Tax	-620.65	262.83	
P/L After Tax from Ordinary Activities	5,404.79	2,939.78	83%



Characteristics of Balance Sheet Statements

Balance Sheet is a statement

Prepared on a specific date

Gives information about financial position

Knowledge about assets and liability

Assets and liability tally each other

BALANCE SHEET

SOM101 Corporation as on 01.01.2025

ASSETS	Amount (Rs Million)
Current Assets	
Cash and Cash Equivalents	50,000
Accounts Receivable	30,000
Inventory	20,000
Prepaid Expenses	5,000
Total Current Assets	105,000
Non-Current Assets	
Property, Plant & Equipment	200,000
Intangible Assets	15,000
Total Non-Current Assets	215,000
Total Assets	320,000

BALANCE SHEET

SOM101 Corporation as on 01.01.2025

LIABILITIES AND EQUITY	Amount (Rs Million)
Current Liabilities	
Accounts Payable	25,000
Short-Term Debt	10,000
Accrued Expenses	8,000
Total Current Liabilities	43,000
Non-Current Liabilities	
Long-Term Debt	150,000
Total Non-Current Liabilities	150,000
Total Liabilities	193,000
Equity	
Common Stock	50,000
Retained Earnings	77,000
Total Equity	127,000
Total Liabilities & Equity	320,000

Balance Sheet

Company Name

Assets		
Current Assets :		
Cash		
Accounts Receivable		
Inventory		
Prepaid Expenses		
Other Current Assets		
Total Current Assets		
Fixed Assets :		
Land		
Equipment		
Accumulated Depreciation		
Other Fixed Assets		
Total Fixed Assets		
Total Assets		
Liabilities & Equity		
Current Liabilities		
Accounts Payable		
Accrued Liabilities		
Deferred Income		
Other Current Liabilities		
Total Current Liabilities		
Long Term Liabilities		
Notes Payable		



Balance Sheet Example

ASSETS

Current assets

Cash and cash equivalents	\$ 100,000
Accounts receivable	20,000
Inventory	15,000
Prepaid expense	4,000
Investments	10,000
Total current assets	149,000

Land	24,300
Buildings and improvements	250,000
Equipment	50,000
Less accumulated depreciation	(5,000)

Other assets

Intangible assets	4,000
Less accumulated amortization	(200)

Total assets \$ 472,100

LIABILITIES AND SHAREHOLDERS'S EQUITY

Current liabilities

Account payable	\$ 30,000
Notes payable	10,000
Accrued expenses	5,000
Deferred revenue	2,000
Total current liabilities	47,000

Long-term debt	200,000
Total liabilities	<u>247,000</u>

Shareholders' Equity

Additional paid-in capital	10,000
Common stock	20,000
Retained earnings	197,100
Treasury stock	(2,000)

Total liabilities and shareholders' equity \$ 472,100

BALANCE SHEET OF TATA MOTORS

BALANCE SHEET OF TATA MOTORS (in Rs. Cr.)	◀	MAR 23	MAR 22
		12 mths	12 mths
EQUITIES AND LIABILITIES			
SHAREHOLDER'S FUNDS			
Equity Share Capital		766.02	765.88
TOTAL SHARE CAPITAL		766.02	765.88
Reserves and Surplus		21,703.83	19,171.88
TOTAL RESERVES AND SURPLUS		21,703.83	19,171.88
TOTAL SHAREHOLDERS FUNDS		22,469.85	19,937.76

NON-CURRENT LIABILITIES		
Long Term Borrowings	10,445.70	14,102.74
Deferred Tax Liabilities [Net]	51.16	173.72
Other Long Term Liabilities	1,411.78	1,212.34
Long Term Provisions	1,588.75	1,474.11
TOTAL NON-CURRENT LIABILITIES	13,497.39	16,962.91

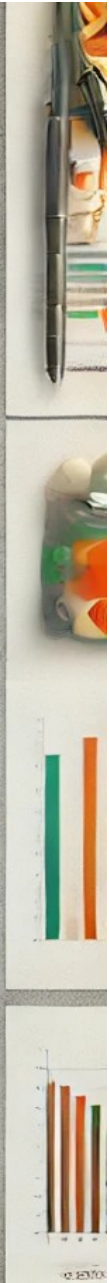
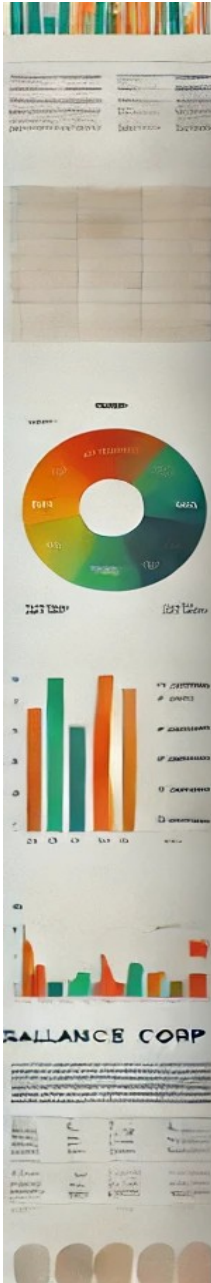
CURRENT LIABILITIES		
Short Term Borrowings	8,426.74	9,129.91
Trade Payables	7,162.60	6,102.10
Other Current Liabilities	9,805.30	11,152.74
Short Term Provisions	408.89	608.06
TOTAL CURRENT LIABILITIES	25,803.53	26,992.81
TOTAL CAPITAL AND LIABILITIES	61,770.77	63,899.87

ASSETS		
NON-CURRENT ASSETS		
Tangible Assets	15,627.27	12,065.89
Intangible Assets	0.00	2,009.87
Capital Work-In-Progress	0.00	585.21
Other Assets	0.00	0.00
FIXED ASSETS	15,627.27	15,543.00
Non-Current Investments	29,181.62	29,256.39
Deferred Tax Assets [Net]	1,477.26	0.00
Long Term Loans And Advances	114.40	48.43
Other Non-Current Assets	3,870.27	3,432.44
TOTAL NON-CURRENT ASSETS	50,270.82	48,280.26

CURRENT ASSETS		
Current Investments	3,142.96	5,143.08
Inventories	3,027.90	3,718.49
Trade Receivables	2,307.72	2,111.78
Cash And Cash Equivalents	1,414.65	2,605.43
Short Term Loans And Advances	132.29	139.37
OtherCurrentAssets	1,474.43	1,901.46
TOTAL CURRENT ASSETS	11,499.95	15,619.61
TOTAL ASSETS	61,770.77	63,899.87

Introduction to Management





Characteristics of Balance Sheet Statements

Balance Sheet is a statement

Prepared on a specific date

Gives information about financial position

Knowledge about assets and liability

Assets and liability tally each other

Uses of Balance Sheet

- Understanding Financial Position : It gives a snapshot of the company's financial health. Assets and Liabilities
- Assessing Liquidity : It helps check whether the business can pay its short-term obligations using current assets.
- Measuring Financial Stability : By looking at the amount of debt compared to equity, we can judge whether the company is financially stable or highly leveraged.

Uses of Balance Sheet

- Supporting Investment Decisions : Investors use the balance sheet to decide whether to invest in a company by evaluating its assets, liabilities, and net worth.
- Helping in Credit Decisions : Banks and lenders analyze the balance sheet before approving loans to check the company's ability to repay.
- Calculating Financial Ratios
- Many important ratios are calculated using balance sheet data

Class Work Fun

- **Transactions**

- Owner invested cash in business – ₹1,50,000
- Purchased coffee machine for cash – ₹40,000
- Bought raw materials (coffee beans, milk, etc.) for cash – ₹20,000
- Purchased furniture on credit – ₹30,000
- Sales during the month – ₹75,000 (all cash)
- Paid shop rent – ₹10,000
- Paid staff salaries – ₹12,000
- Electricity bill paid – ₹3,000
- Purchased additional raw materials on credit – ₹8,000
- Paid ₹5,000 to the furniture supplier
- Owner withdrew cash for personal use – ₹7,000
- Remaining raw materials at the end of month – ₹6,000

- **Identify the following**
- Classify each transaction into:
- Asset
- Liability
- Revenue
- Expense
- Capital
- Drawings

Classification of Transactions

Transaction

Owner invested ₹1,50,000

Purchased coffee machine ₹40,000

Bought raw materials ₹20,000

Furniture purchased on credit ₹30,000

Sales ₹75,000

Rent ₹10,000

Salaries ₹12,000

Electricity ₹3,000

Raw materials bought on credit ₹8,000

Paid supplier ₹5,000

Owner withdrew ₹7,000

Closing raw materials ₹6,000

Classification

Capital / Asset (Cash)

Asset (Equipment)

Asset (Inventory)

Asset (Furniture) + Liability

Revenue

Expense

Expense

Expense

Asset (Inventory) + Liability

Decrease in Cash & Liability

Drawings

Closing Inventory

- Cost of Raw Materials Used
- Opening inventory = 0
Purchases = $20,000 + 8,000 = 28,000$
Closing inventory = 6,000
- Cost of materials used = $28,000 - 6,000 = 22,000$

P&L

• Particulars	Amount (Rs)
• Sales/Revenue	75000
• Less Cost Of Material Used	22000
• Gross Profit	53000
• Rent	10000
• Salary	12000
• Electricity	3000
• Total Expenses	25000
• Net Profit	28000

Task Please calculate the ratio for your respective companies and find implications

Group 1-2-11 : Gross Margin

Group 3-4-12 : Operating Profit Margin

Group 5-6-13 : Net Margin

Group 7-8-14: EBIDTA

Group 9-10-15: EBIT

Please submit this by 19th March on Moodle

Introduction to Management –Marketing

Prof Mayank Pareek

INTRODUCTION TO MANAGEMENT - MARKETING





Delhi's 26-year-old Ankush Goyal was the first to buy the iPhone 17 Pro Max after camping outside store overnight—his third year in a row being first in India.



Tim Cook's favourite Indian 🇮🇳





~ Rs 16700



~RS 1,60,000/-



HIDESIGN : Rs 8000



Hermes Birkin : 170,000,000



~ Rs 5000/-



Rs 20,000,000,

MARKETING

Marketing is a set of activities

CREATING

COMMUNICATING

DELIVERING

That has VALUE for others

OBJECTIVES OF MARKETING

Creation of Demand

Customer Satisfaction

Market Share

Generating Profits

Creating Goodwill and public image

New Product Development/MR



World's most Valued Brands-2024

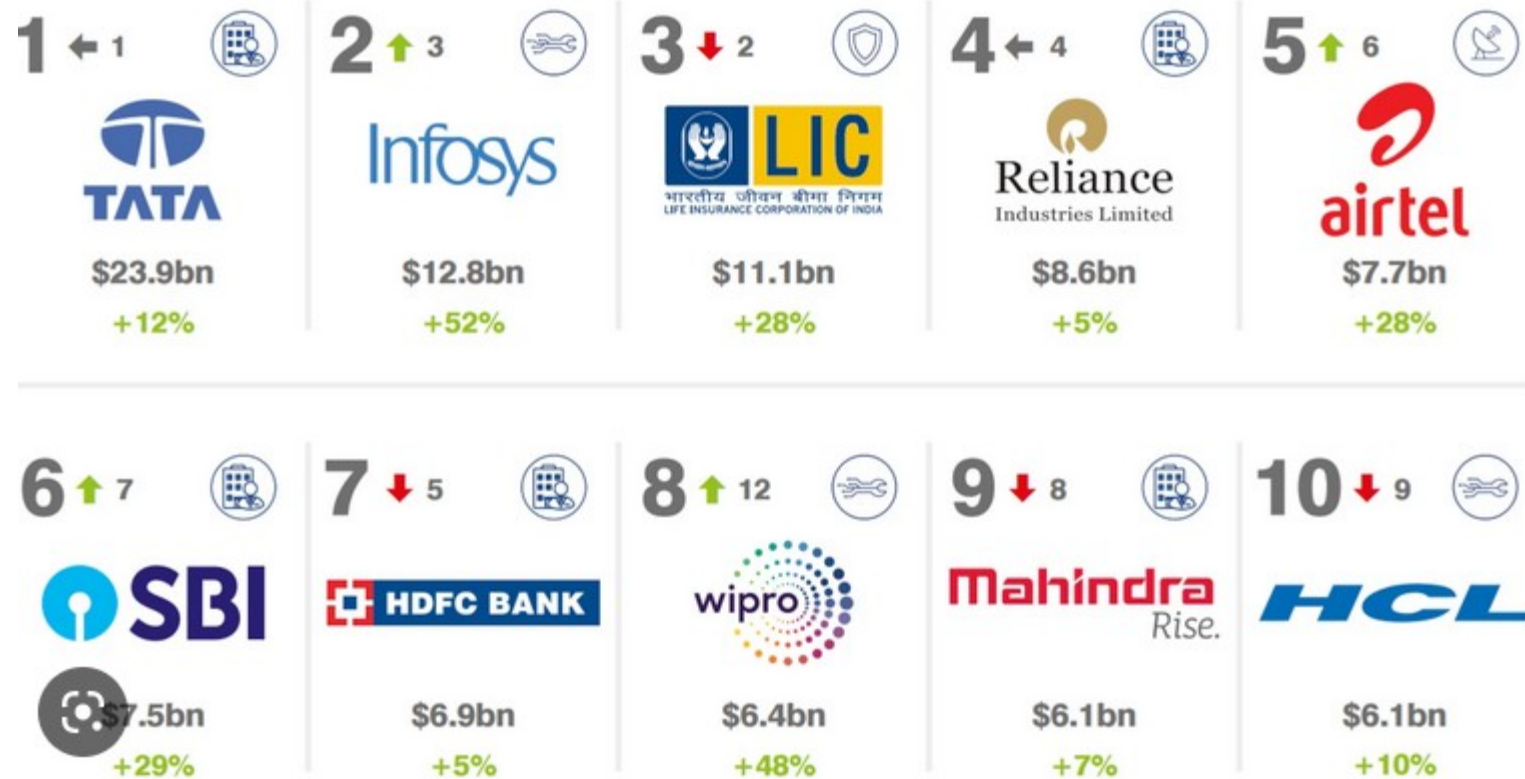
1 +1  \$516.6 bn +74% 	2 +2  Microsoft \$340.4 bn +78% 	3 0  \$333.4 bn +19% 	4 -3  \$308.9 bn +3% 	5 +1 SAMSUNG \$99.4 bn -0% 
6 -1  \$96.8 bn -15% 	7 +3  \$84.2 bn +28% 	8 +6  \$75.7 bn +28% 	9 +2  \$73.3 bn +17% 	10 -3  \$71.8 bn +3% 

USA : 6
China : 3
Korea : 1

TOP INDIAN BRANDS

Top 10 Most Valuable Indian Brands

© Brand Finance Plc 2022



Benefits of Branding

Instant recognition of the product by the customer.

Brand loyalty – repeat purchases

Higher prices can be charged

Quality is associated with it

Easier to launch new products

Good after sales service

May lead to **purchases of other products** with same brand name



Five Criteria for Market

True Need to Buy

Ability to Pay

Willingness to Buy

Authority to buy/pay

Large enough market size

Role Of Marketing

Identify customers

Understand Customers wants and needs

Identify whom to target

Identify how to target

Role Of Marketing

Satisfy customers

Make Right Product or service available

Right people at right time

Make everyone happy about exchange

Role Of Marketing

Retain customers

Give customers reasons for coming back

Find New opportunity to win business

MARKETING MIX



PRODUCT



PRICE



PLACE



PROMOTION



PEOPLE



PHYSICAL ENVIRONMENT



PROCESS

Product



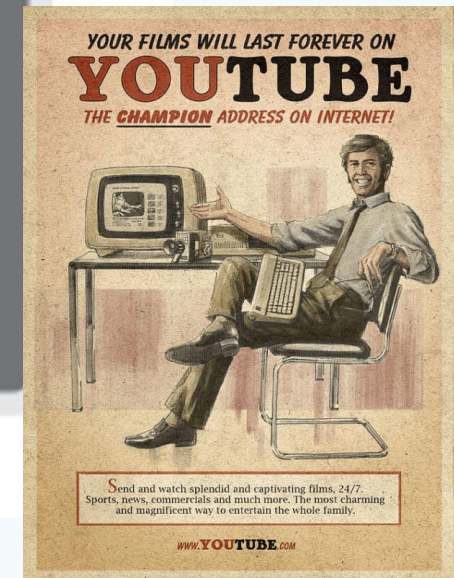
Promotion

PROMOTION

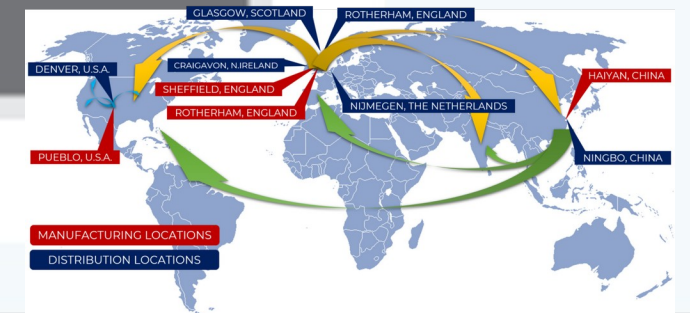
What is the
dialogue between
customer and
company?

....

- Message
- Method of delivering message
- Timing of delivery
- Communications by customers and influencers
- Competitor promotions



Place



Price

PRICE

What is the cost
to the customer?

....

- Value to buyer
- Price sensitivity
- Existing price points
- Discounts
- Competitor pricing



PEOPLE



Individuals on Marketing Activities

Recruitment

Culture

Training and Development

Remuneration

Who are people and are their skill gaps?

PROCESS



Customer Focussed

Business Led

IT Supported

Design Features

R&D

Are their Internal Process impediment to delivering best value

PHYSICAL



PHYSICAL ENVIRONMENT

Sales staff/Contact Experience

Brand Experience

Product Packaging

Online Experience

How we assure our customers? Impressive building/Employees

Segmentation

Process of Dividing a company's target market

In to groups of potential customers

With similar needs

And Behaviour

Levels of Segmentation

Mass Marketing

Segment Marketing

Niche Marketing

Local Marketing

Individual Marketing

Customer Persona Creation

Example : Tech Titan Tapan

- Profile:
- Name: Tapan Shah
- Age: 29
- Profession: Software Engineer at a top tech company (e.g., Google, Meta,, or a startup)
- Location: Urban metro (e.g., Bangalore, Paulo Alto)
- Values: Innovation, efficiency, being the first to adopt new tech
- Lifestyle: Early adopter, loves tinkering with gadgets, follows tech YouTubers and podcasts, builds PCs, attends hackathons
- Shopping Behavior: Research-heavy, looks for cutting-edge features, willing to pay more for performance and exclusivity

- **Product Concept:**
- **Brand Name: NeuroDesk**
- *The Smartest Desk You'll Ever Use.*
- **Product: An AI-powered modular workspace for tech professionals. Includes:**
 - Wireless charging pads
 - Auto-adjustable ergonomic height
 - Built-in smart assistant (voice + app-controlled)
 - Touchscreen productivity dashboard
 - Ambient lighting synced to screen + music
 - Real-time posture tracking & alerts

Tagline:

"Work Smarter. Code Faster. Flex Harder"

Packaging & Sales Strategy:

in a flat-pack with AR-based setup assistance

Partner with brands like **NVIDIA, GitHub, or Hackathons** for co-marketing

Limited edition custom setups (e.g., dark mode theme, RGB pro)

Marketing Message (for Instagram/LinkedIn ad):

"You're not basic. Your desk shouldn't be either. NeuroDesk transforms your 9–5 into a tech-powered productivity zone. Built for coders, by coders."

Learning Objective

Understand how **lifestyles, values, and attitudes shape buying behavior**

Learn to **align marketing and sales efforts** with psychographic profiles

Improve teamwork, creativity, and pitch delivery

Group work 30 Minutes

Presentation 5 minutes each cohort

1, 15 : Adventure Seeker Ankit – 24, loves travel, trekking, and hates routine

2, 14 : Mindful Meera – 35, into yoga, sustainability, and organic products

3,13 Creative Kabir – 21, an art student who values uniqueness and expression

4,12 Trendy Tanya – 19, fashion lover, always on Instagram, FOMO-driven

5, 11 Frugal Faisal – 30, budget-conscious, practical, compares everything

6, 10 Luxury-Lover Lavanya – 40, high-income, values prestige, hates bargains

7, 9 Richi Rich Rahul – 53 : Rich, indulgent on family, loves to travel, vacations

8, Supercool Sneha : 18 : Represents India in cricket; Single kid, school drop out; ‘

- Task – Design a Product + Pitch
- Each group must:
- Identify the needs and values of their assigned persona
- Create a product or service that appeals specifically to that persona (can be real or imaginary)
- Brand it – name, tagline, positioning
- Prepare a 60–90 second elevator pitch targeting their persona
- Optional: Sketch packaging, logo, or a social media post for bonus creativity

INTRODUCTION TO SUPPLY CHAIN MANAGEMENT



EVER GIVEN : 28th March 2021

What is Supply Chain

- A network of organizations, people, activities, information, and resources involved in moving a product or service from supplier to customer.
- Suppliers → Manufacturer → Distributor → Retailer → Customer
- Types of Flow : Material, Information, Financial

Supply Chain Management (SCM)

SCM is the management of flow of goods

Increased Throughput while minimising inventory

Right Material

Right Quality

Right Quantity

Right Time

Right Price

Complex Supply Chain of iPhone

- Component Sourcing : 250 Major suppliers from 50 Countries
- Manufacturing : India & China ; Zhengzhou, China (iPhone City)
- Logistics : more than 8 Major partners
- Retails : Apple.com, Apple stores, Authorized Retailers, Tele Carriers
- Service : Global Service Partners

Key Functions in Supply Chain

- Sourcing & Procurement
- Manufacturing / Production
- Logistics / Transportation
- Warehousing
- Inventory Management
- Demand Planning / Forecasting
- Order Fulfillment

Why Supply Chain Matters?

- Cost efficiency
- Customer satisfaction
- Speed to market
- Sustainability

Supply Chain Challenges

- Demand volatility
- Supply disruptions
- Inventory mismanagement
- Lack of visibility
- Global sourcing risks
- Bullwhip effect

Demand Volatility

- How much and how frequently customer demand for a product or service fluctuates over time.
- Unpredictable spikes or drops in demand
- Seasonal or event-driven changes
- Influenced by external factors (economy, trends, weather, etc.)
- **Why It Matters:**
- Impacts inventory planning
- Affects pricing strategies
- Creates supply chain challenges

Demand Volatility in Durable Goods Industry

- Seasonal Demand (Appliances) : AC in summers
- High-Value Purchase Delays (Economic Sensitivity)
- Festival & Promotional Spikes : Discount offers
- Technology Upgrades & Product Cycles
- Replacement Cycles
- Supply Chain Disruptions

Examples of Supply Chain Disruptions

- Global Pandemic Disruption
- Shipping Blockages : Strait of Hormuz
- Natural Disasters : Fukushima Tsunami
- Geopolitical Conflicts : ME Conflict
- Raw Material Shortages
- Labor Strikes & Workforce Issues
- Logistics & Transportation Failures

What is Inventory Mismanagement?

- A business fails to maintain the right balance of stock—either too much (overstocking) or too little (stockouts).
- **Overstocking:** Excess inventory leading to high holding costs
- **Stockouts:** Running out of products, losing sales
- **Poor Forecasting:** Inaccurate demand predictions
- **Obsolete Inventory:** Unsold or outdated goods
- **Impact**
 - Increases storage and operational costs
 - Leads to lost sales and unhappy customers
 - Impacts cash flow and profitability

Why Inventory Mismanagement?

- **Demand Volatility:** Unpredictable customer behavior
- **Poor Data Systems:** Lack of real-time inventory tracking
- **Inefficient Supply Chain:** Delays or miscommunication
- **Lack of Coordination:** Between sales, procurement, and logistics
- Panic buying of LPG now
- Fashion retailers stuck with unsold seasonal clothing after trends fade (influenced by Instagram)
- Durable goods retailers overstock appliances before summer but face unsold inventory if weather demand is weaker than expected
- **Business Impact:**
 - Revenue loss due to missed or excess sales
 - Increased warehousing and discounting costs
 - Reduced efficiency and customer satisfaction

What is Lack of Visibility in Supply Chain?

- The inability to track inventory, shipments, and information flow in real time across the supply chain.
- Where it occurs : Inventory levels in warehouses and stores; Shipment tracking during transit ;Supplier production status;Demand data across channels
- **Key Problems:**
 - Delayed or inaccurate information
 - No real-time tracking of goods
 - Poor coordination between partners
- **Why It Matters:**
 - Leads to stockouts or overstocking
 - Slows decision-making
 - Reduces responsiveness to demand changes

Project : Group Presentations

- Each group to make presentation on the focus topic for allotted company
- Time per Group : 15 Minutes
- In this given time limit you can use any format
- Presentations should be sent to class TA Mr Gokul, a day in advance
- Evaluation on the basis of understanding of the subject by the group members; team working; leadership style, communication and Time management
- Team lead should present the first slide introducing members
- This slide should also show how many meetings each group member attended

What are Global Supply Chain Risks?

- Global supply chain risks are disruptions or uncertainties that affect the flow of goods, information, and finances across international supply networks.
- **Why They Matter:**
- Supply chains span multiple countries and partners
- Small disruptions can create large ripple effects
- Increasing globalization increases complexity
- **Types of Risks:**
- Operational risks (delays, failures)
- External risks (natural disasters, pandemics)
- Strategic risks (supplier dependency)

Tata Motors

- **Global Supply Chain Highlights:**
- Designs and develops vehicles in India, UK and Italy
- Sources components from multiple countries (e.g., engines from the U.K., electronics from Japan)
- Exports vehicles to Europe, Africa, and South Asia
- Manufacturing plants in India, South Korea, and the U.K.
- **Example of Global Impact:**
- During the COVID-19, disruptions in semiconductor supplies from Japan and Taiwan affected production and exports globally

Reliance Industries

- **Global Supply Chain Highlights:**
 - Petrochemical raw materials sourced internationally
 - Partnerships with global technology providers and distributors
 - Exports refined products to over 100 countries
 - Imports machinery and technology for refining and telecom divisions
- **Example of Global Impact:**
 - Volatility in crude oil prices or shipping delays affects Reliance's petrochemical and fuel supply chain worldwide

Emerging Trends in Supply Chain Management

- Digital transformation (AI, IoT, Blockchain)
- Green / Sustainable supply chains
- E-commerce and last-mile delivery
- Resilient supply chains (post-pandemic shift)
- Data-driven decision-making

Emerging Trend – Digital Transformation in Supply Chain

- **IoT (Internet of Things):** Real-time tracking of inventory and shipments
- **AI & Machine Learning:** Demand forecasting, predictive analytics
- **Blockchain:** Transparent, secure supply chain transactions
- **Robotics & Automation:** Warehousing, order fulfillment
- **Cloud & ERP Systems:** Centralized data and collaboration across partners
- **Benefits:** Improved supply chain visibility and transparency
- Faster, data-driven decision making
- Reduced operational costs and errors
- Enhanced responsiveness to demand fluctuations
- **Real-World Examples:**
 - **Walmart:** Uses blockchain to track food supply and improve traceability
 - **Amazon:** Uses AI, robotics, and IoT to optimize warehouse operations and delivery

Emerging Trend – Sustainable Supply Chain

- A sustainable supply chain integrates **environmental, social, and economic considerations** into sourcing, production, and logistics to reduce negative impacts and create long-term value.
- **Key Components: Eco-friendly Sourcing:** Using renewable materials, reducing waste
- **Green Logistics:** Energy-efficient transportation, optimized routes
- **Circular Economy Practices:** Recycling, product life-cycle management
- **Ethical Practices:** Fair labor, supplier compliance, and community impact
- **Benefits:** Reduced carbon footprint and resource consumption
- Cost savings through efficiency and waste reduction
- Stronger brand reputation and customer loyalty
- Compliance with global regulations and ESG standards
- **Real-World Examples:**
- **Tata Steel:** Implements energy-efficient production and recycles industrial by-products
- **Unilever:** Uses sustainable sourcing for palm oil and focuses on reducing plastic packaging

Emerging Trend : E-Commerce & Last-Mile Delivery

- **E-Commerce Supply Chain:** The system that manages sourcing, storage, and delivery of products sold online.
- **Last-Mile Delivery:** The final step of the supply chain where products are delivered from a warehouse or hub directly to the customer.
- **Key Challenges in Last-Mile Delivery:**
 - High delivery costs (up to 50% of total shipping costs)
 - Traffic congestion and urban logistics issues
 - Meeting same-day or instant delivery expectations
 - Returns management and reverse logistics

Emerging Trend : E-Commerce & Last-Mile Delivery

- **Automation & Robotics:** Drones, delivery robots, and automated lockers
- **Route Optimization:** AI-powered real-time route planning
- **Crowdsourced Delivery:** Using gig workers for flexible deliveries
- **Sustainable Delivery:** Electric vehicles, eco-packaging, carbon footprint reduction
- **Real-World Examples:**
 - **Amazon:** Uses drones, AI route optimization, and fulfillment centers near urban areas for faster deliveries
 - **Flipkart:** Implements hyperlocal warehouses and partner delivery networks to improve last-mile speed

Drivers of supply chain performance

- Aim.. responsiveness and efficiency at lowest possible cost.
- Drivers are set to improve the supply chain performance.
- Facilities
- Inventory
- Transportation
- Information
- Sourcing
- Pricing.

KEY CONCEPTS

AGILE SUPPLY CHAIN

BULL WHIP EFFECT

LEAN SUPPLY CHAIN

FOURTH PART LOGISTIC PROVIDER

PERFECT ORDER

Agile Supply Chain

- An *Agile Supply Chain* is the ability to rapidly respond to changes in demand, supply disruptions, and market conditions with flexibility and speed.
- **Flexibility** – Quickly adjust production & sourcing
- **Responsiveness** – React fast to customer demand changes
- **Visibility** – Real-time tracking across the supply chain
- **Collaboration** – Strong coordination with partners
- **Enablers**
 - Digital technologies (AI, IoT, data analytics)
 - Demand sensing & forecasting
 - Supplier diversification
 - Lean + Agile (Leagile approach)

Agile Supply Chain

- Advantage : Reduced lead time
- Improved customer satisfaction
- Lower risk from disruptions
- Better inventory management
- **Example** : Companies like Amazon use real-time data and flexible logistics to adapt instantly to demand spikes.

The Bull Whip Effect

Small fluctuations in customer demand cause increasingly larger fluctuations in orders and inventory up the supply chain.

- Minor demand changes at the retailer level → amplified impact at the wholesaler, distributor, and manufacturer levels
- A 5% increase in demand for toilet paper at retail leads to a 20% increase in orders at the manufacturer

Causes of Bull Whip Effect

- **Demand Forecasting Errors:**
 - Overreacting to small changes in customer demand
- **Order Batching:**
 - Companies place larger, less frequent orders to save costs, amplifying variability
- **Price Fluctuations & Promotions:**
 - Promotions cause temporary spikes, leading to over-ordering
- **Lack of Information Sharing:**
 - Suppliers don't see actual consumer demand, only retailer orders

Example of Bull Whip Effect

- **Automotive Industry**
- Sudden change in car sales demand → amplified orders for parts like semiconductors → global shortages

Impact of Bull Whip

- Excessive inventory
- Stockouts and lost sales
- Poor customer service
- Higher logistics and storage costs
- Inefficient resource allocation

Lean Supply Chain

- *A Lean Supply Chain* focuses on eliminating waste, reducing costs, and improving efficiency while maintaining value for the customer.
- **Key Principles**
 - **Eliminate Waste** – Remove unnecessary inventory, steps, or delays
 - **Continuous Improvement (Kaizen)** – Regular process optimization
 - **Just-in-Time (JIT) Production** – Produce & deliver only what is needed
 - **Value Stream Mapping** – Identify value-adding vs non-value-adding activities
- **Benefits**
 - Lower inventory & storage costs
 - Faster turnaround times
 - Reduced operational inefficiencies
 - Improved product quality

Fourth Party Logistics – 4PL

- Evolution to Fourth-Party Logistics (4PL)
- **In-House Logistics**
- Company manages all logistics internally
- High costs, limited expertise, low flexibility
- **Third-Party Logistics (3PL)**
- Outsources transportation, warehousing, or fulfillment
- Focus on execution, not strategic integration
- **Fourth-Party Logistics (4PL)**
- Outsources entire supply chain management
- Integrates multiple 3PLs, suppliers, IT systems
- Focus on strategy, visibility, optimization

Fourth Party Logistics – 4PL

- A 4PL provider manages the entire supply chain for a company, integrating resources, technology, and partners to optimize end-to-end logistics. Unlike 3PL, 4PL focuses on **strategy, coordination, and total supply chain management**.
- **Key Features (Icons/Boxes)**
 - Single Point of Contact** – Simplifies supplier & carrier management
 - Supply Chain Integration** – Coordinates 3PLs, vendors, and IT systems
 - End-to-End Visibility** – Real-time monitoring of inventory & shipments
 - Consulting & Optimization** – Strategy, process improvement, and cost reduction

Perfect Order

- *Perfect Order* is an order delivered on time, complete, damage-free, and with accurate documentation, meeting the customer's expectations perfectly.
- Key Components (4 Boxes with Icons)
 - On-Time Delivery – Order arrives when promised
 - Complete Order – All items shipped in full quantity
 - Damage-Free – Products delivered in perfect condition
 - Accurate Documentation – Correct invoices, labels, and compliance paperwork

KEY CHALLENGES

MATCHING SUPPLY AND DEMAND; DEMAND FORECASTING

RIGHT MATERIAL AT RIGHT TIME

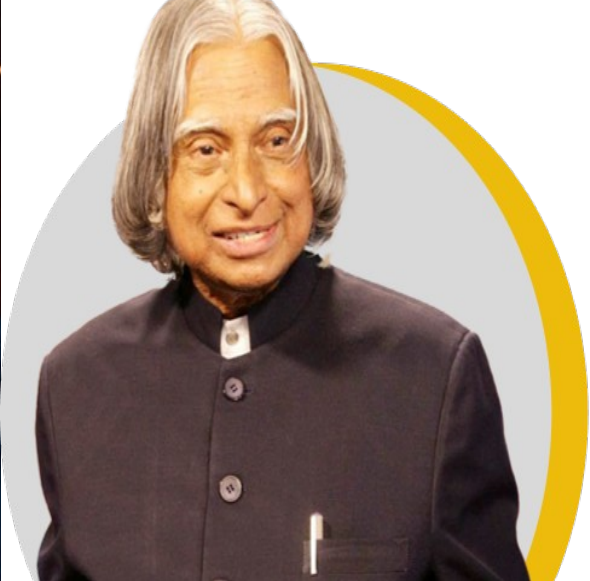
INVENTORY CONTROL

UNEXPECTED DELAYS IN SUPPLY

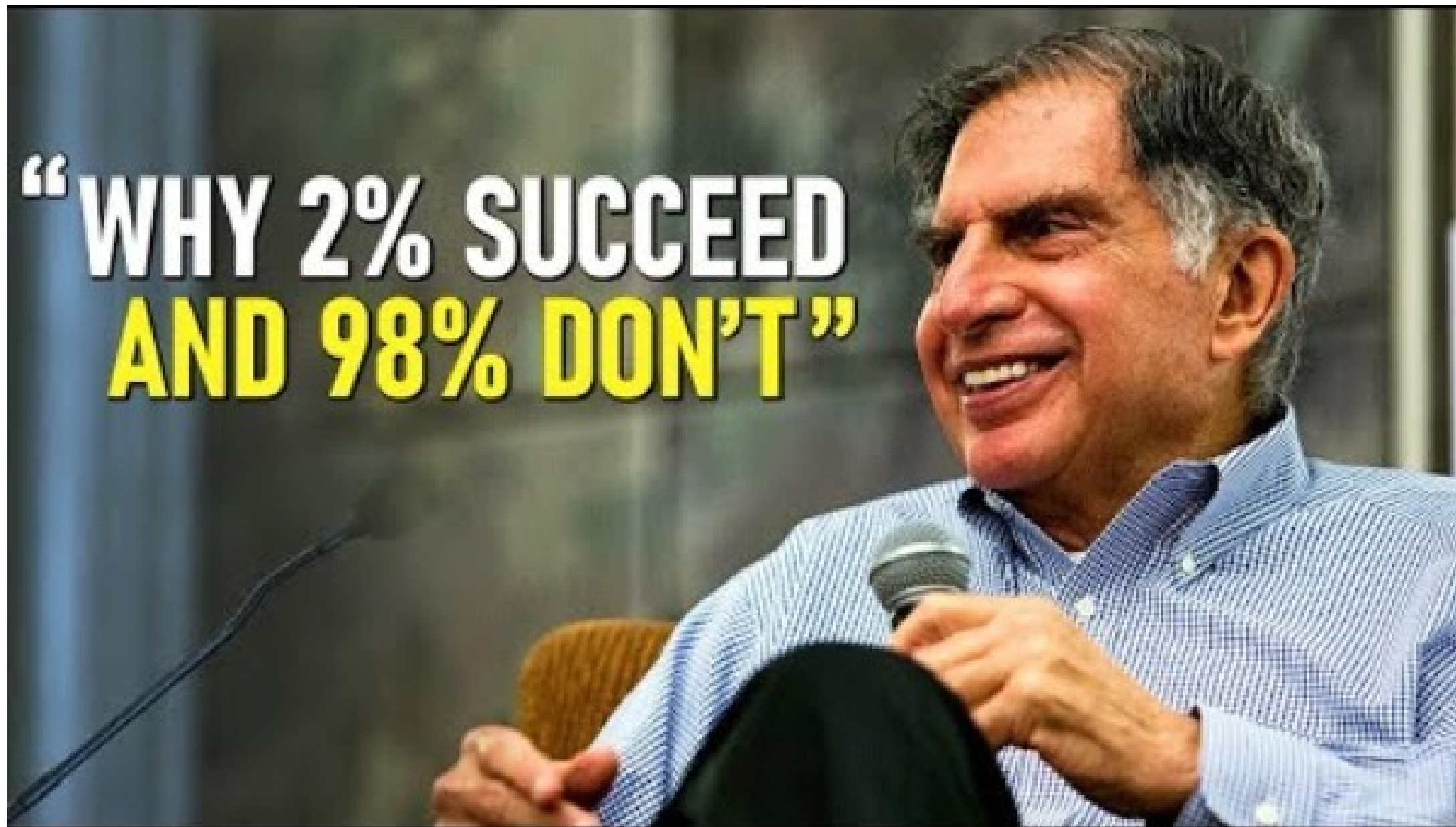
SUPPLIER DEVELOPMENT

RISK MANAGEMENT

Leading and Motivation



**“WHY 2% SUCCEED
AND 98% DON'T”**



What is leading?

- Every organization has people, and a manager's job is to work with and through people to accomplish goals. This is the leading function.
- When managers motivate subordinates, help resolve work group conflicts, influence individuals or teams as they work, select the most effective communication channel, or deal in any way with employee behavior issues, they are leading.
- Leading is a management function that involves working with and through people to accomplish organizational goals.
- Leading involves motivation, direction and co-ordination

Appreciation Strategy Humility
Commitment Responsibility
Leadership
Integrity Listening
Honest Communication
Values Purpose Determination
Passion Principles



direction coaching strength integrity respect recognition
influence creativity strengths believability
courage values tenacity ownership vision potential authenticity
trustworthy unstoppable taking supporting nurtures ethical recovery
dreaming big model leverages building transparency relationship embodiment
people team change common
honesty flexibility business communication
visionary charisma desire
good growth situational confidence
presence



Create a Powerful Vision

Transfer Vision into Reality

Influences not Authorise

Unlocks people's potential

Create a Powerful Vision

DEFINITION

- leadership is the “process of social influence in which one person can enlist the aid and support of others in the accomplishment of a common task”.

M Chemers.

- "Leadership is ultimately about creating a way for people to contribute to making something extraordinary happen."

Alan Keith.

LEADERSHIP SIMPLY REFERS TO



- ❖ Leading People
- ❖ Influencing People
- ❖ Commanding People
- ❖ Guiding People

Core Personal Traits:

- 1. Visionary Thinking** – Sees the bigger picture and sets a clear direction for the team.
- 2. Integrity & Honesty** – Builds trust by being ethical, transparent, and consistent.
- 3. Confidence** – Believes in themselves and their mission, inspiring others to do the same.
- 4. Resilience** – Stays strong and adaptable in the face of challenges and setbacks.
- 5. Emotional Intelligence** – Understands and manages their emotions while empathizing with others.

Key Leadership Skills:

6.Communication – Clearly articulates ideas and actively listens to feedback.

7.Decision-Making – Analyzes situations effectively and makes sound judgments.

8.Problem-Solving – Identifies challenges and finds innovative solutions.

9.Delegation – Trusts and empowers team members by assigning tasks wisely.

10.Accountability – Takes responsibility for actions and results, both personal and team-wide.

Team & Growth-Oriented Qualities:

11.Empathy – Understands and supports team members' needs and concerns.

12.Motivation & Inspiration – Encourages and energizes people to perform at their best.

13.Adaptability – Embraces change and leads effectively in uncertain situations.

14.Collaboration – Works well with others, fostering a sense of unity and shared purpose.

15.Continuous Learning – Always seeks to improve skills and knowledge while encouraging the same in their team.

LEADERSHIP STYLES

Styles of Leadership



- Authoritarian or autocratic
- Participative or democratic
- Delegative or Free Reign

Key Traits of an Autocratic Leader:

- 1. Absolute Control** – Makes all major decisions without consulting team members.
- 2. High Discipline & Structure** – Enforces strict rules and expects complete compliance.
- 3. Minimal Delegation** – Prefers to handle key tasks personally rather than trusting subordinates.
- 4. Low Tolerance for Dissent** – Does not encourage opposing opinions or feedback.
- 5. Fast Decision-Making** – Acts quickly and decisively without waiting for team input.
- 6. Authoritative Communication** – Uses a top-down approach, giving direct orders rather than discussing options.
- 7. Performance-Oriented** – Focuses on results and efficiency over employee satisfaction.
- 8. Limited Collaboration** – Does not involve the team in strategic planning or brainstorming.
- 9. Fear-Based Motivation** – Uses control, punishment, or strict supervision to maintain order.
- 10. Resistance to Change** – Prefers traditional methods and is less open to innovation or adaptation.

Where Autocratic Leadership Works Well:

- **Military & Law Enforcement** – Requires strict discipline and chain of command.
Crisis Management – Quick, firm decisions are needed in high-pressure situations.
Manufacturing & Construction – Highly structured work environments demand precision.

Key Traits of a Democratic Business Leader:

1. Collaborative Decision-Making

Encourages employees to share ideas and opinions before making key decisions. Values collective wisdom and seeks input from various levels of the organization.

2. Open & Transparent Communication

Promotes honest, two-way communication with employees.
Actively listens to feedback and makes employees feel heard.

3. Empathy & Emotional Intelligence

Understands and respects employees' feelings, perspectives, and challenges.
Creates a supportive work culture that prioritizes employee well-being.

4. Delegation & Empowerment

Trusts employees to take responsibility and make decisions within their roles.
Encourages autonomy and professional growth by assigning meaningful tasks.

5. Encourages Innovation & Creativity

Fosters an open environment where new ideas and experimentation are welcomed.
Supports a growth mindset and continuous learning.

Key Traits of a Democratic Business Leader:

6. Strong Team-Oriented Approach

Values teamwork over hierarchy and fosters a sense of unity.

Encourages cross-functional collaboration to improve efficiency.

7. Adaptability & Flexibility

Open to change and new perspectives.

Adjusts strategies based on employee input and market dynamics.

8. Focus on Employee Development

- Invests in training, mentorship, and career growth opportunities.
Encourages a learning culture that benefits both employees and the organization.

Key Traits of a Laissez-Faire Business Leader:

1. High Trust in Employees

Believes in the competence of their team and gives them full freedom to make decisions.
Avoids micromanagement and encourages employees to take ownership of their work.

2. Minimal Supervision

Provides guidance only when necessary and allows employees to work independently.
Focuses on big-picture strategy rather than daily operations.

3. Strong Delegation Skills

Assigns tasks and responsibilities but does not interfere in execution.
Ensures the right people are in the right roles to maximize efficiency.

4. Encourages Innovation & Creativity

Gives employees the freedom to experiment and think outside the box.
Creates an open environment where new ideas are encouraged.

Key Traits of a Laissez-Faire Business Leader:

5. Decision-Making at Lower Levels

Empowers employees to make their own choices rather than seeking constant approval.

Trusts department heads or team leads to run their areas with minimal oversight.

6. Hands-Off Leadership Style

Does not impose strict rules or policies, allowing flexibility in work methods.

Steps in only when necessary, such as resolving conflicts or setting major strategic goals.

7. Requires Self-Motivated Employees

- Works best with highly skilled, proactive employees who do not need constant supervision.

Can struggle in teams that require more guidance or structure.

The Last Class

This classroom was never just about management—it was about you.

I may have taught theories, but what I'll remember is your growth, your questions, your journey.

Your marks will fade, but your character will stay.

Be the person people trust, not just the person who succeeds.

Not everyone will believe in you—but you must- I do

Because sometimes, your own belief is all you'll have—and it will be enough.

Success may give you recognition, but values will give you respect.

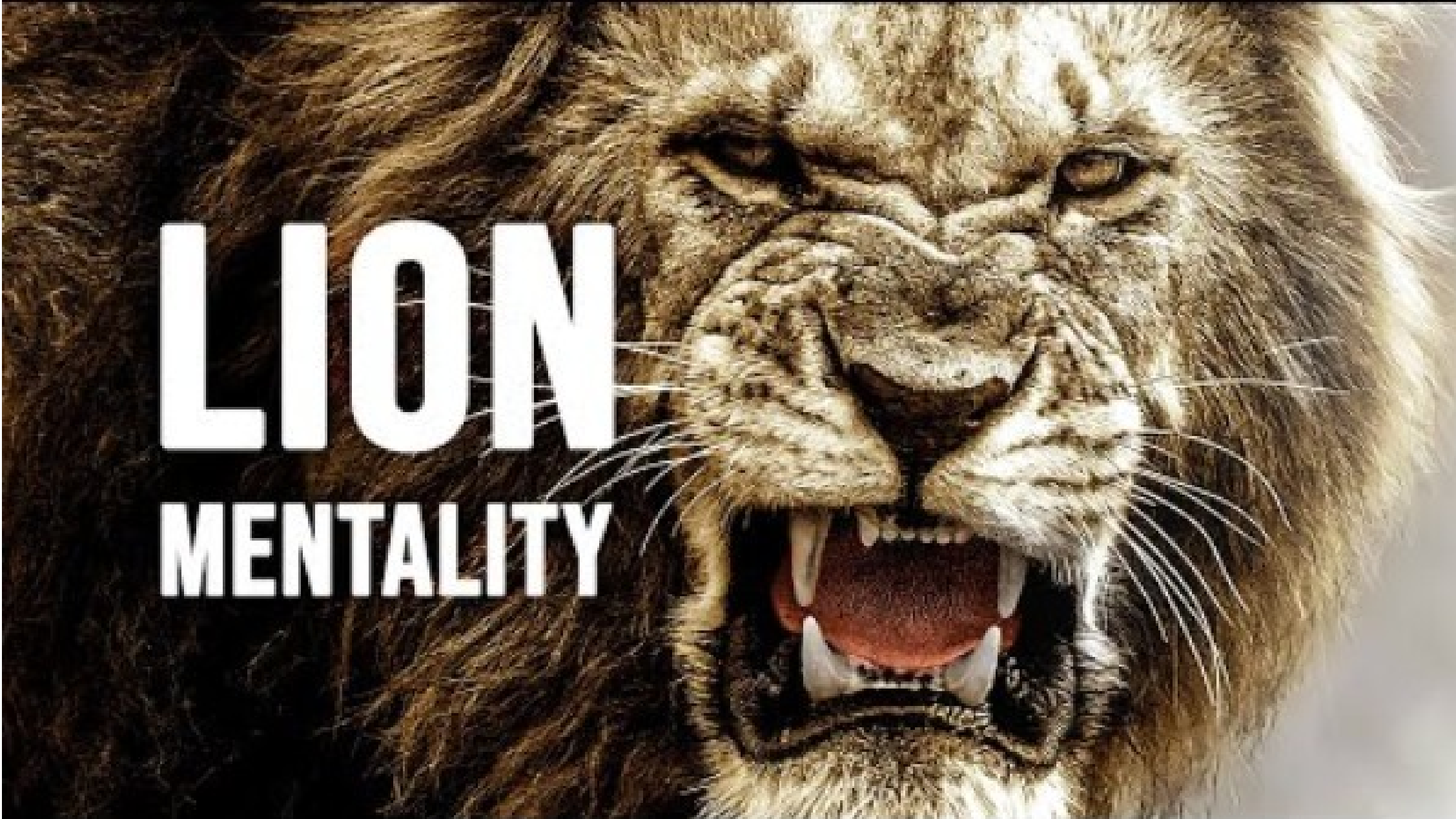
And respect is what truly lasts.

If I've done my job right, you won't just be good managers...

You'll be kind humans, thoughtful leaders, and people who make others feel valued.

This is not goodbye—it's a quiet pride I carry as I watch you go.

A part of me will always be in your journey, cheering for you.



LION MENTALITY

SJM School of Management
Indian Institute of Technology Bombay
1st Quiz For SOM101

1. Each question carry 1 Mark .
 2. There will be negative marking. All wrong answers will get minus 1 Mark
 3. Total time 10 Minutes
-

Q 1. Six Sigma primarily aims to:

- A. Increase employee motivation
- B. Reduce production costs
- C. Eliminate defects and reduce process variation**
- D. Improve marketing efficiency

Q 2. In startup terminology, a “Unicorn” refers to a company that:

- A. Has global operations
- B. Is listed on the stock exchange
- C. Is valued at over \$1 billion**
- D. Has achieved profitability

Q 3. Venture capital funding is typically provided to:

- A. Large, well-established firms
- B. Government-owned enterprises
- C. Early-stage, high-growth potential startups**
- D. Non-profit organizations

Q 4. The Balanced Scorecard evaluates organizational performance using which of the following perspectives?

- A. Financial, Customer, Internal Process, Learning & Growth**
- B. Financial, Marketing, HR, Operations
- C. Profitability, Liquidity, Solvency, Efficiency
- D. Strategy, Structure, Systems, Skills

Q 5. Which of the following companies were the first and second to cross the \$4 trillion market capitalization mark?

- A. Apple and Microsoft
- B. NVIDIA and Alphabet**
- C. Microsoft and Amazon
- D. NVIDIA and Apple

Q 6. Which two companies announced a \$1 billion AI lab co-innovation to accelerate drug discovery?

- A. Google & Pfizer
- B. NVIDIA & Eli Lilly**
- C. Microsoft & Novartis
- D. Amazon & Merck

Q 7. In the Warner Bros. Discovery case mentioned in the news, Paramount made a bid directly to shareholders without the approval of the target company's management. This type of acquisition attempt is known as:

- A. Friendly merger
- B. Strategic alliance
- C. Hostile takeover**
- D. Leveraged buyout

Q 8. As per recent global startup ecosystem rankings, how does India fare in terms of the number of unicorns worldwide?

- A. First, after surpassing the United States
- B. Second, after the United States
- C. Third, after the United States and China**
- D. Fourth, after the United States, China, and the United Kingdom

Q 9. Which of the following is a major risk associated with Bitcoin?

- A. Fixed interest rate
- B. Price volatility**
- C. Excessive government control
- D. Guaranteed returns

Q 10. The fall in coal-based electricity generation in both India and China marks:

- A. A temporary slowdown in energy demand
- B. A shift toward nuclear dominance

C. A structural transition toward cleaner energy sources

D. Decline in industrial activity

Q 11. India's data centre capacity doubling in 2025 was mainly driven by growth in:

A. Traditional manufacturing and exports

B. Cloud computing, 5G, and enterprise technology buildouts

C. Agricultural digitization

D. Retail banking expansion

Q 12. Merge Labs, backed by OpenAI, is primarily focused on developing:

A. Invasive neural implants

B. Non-invasive brain-computer interface (BCI) technology

C. Quantum computing hardware

D. Virtual reality gaming systems

Q 13. Management being result-oriented means it focuses primarily on:

A. Rules and procedures

B. Efforts rather than outcomes

C. Achievement of predetermined objectives

D. Individual preferences

Q 14. Which of the following statements best explains why management is regarded as a group activity rather than an individual activity?

A. Managerial authority is restricted to formal organizational roles

B. Organizational objectives can be achieved only through coordinated human efforts

C. Individual efficiency is sufficient for achieving managerial goals

D. Management functions are performed only at the top level

Q 15. A manager attending a formal ceremony and representing the organization at a public event is primarily performing which managerial role?

A. Leader

B. Liaison

C. Figurehead

D. Spokesperson

Q 16. Which of the following roles involves decision-making rather than information handling?

- A. Monitor
- B. Disseminator
- C. Spokesperson
- D. Disturbance handler**

Q 17. Which of the following statements about core values is incorrect?

- A. They influence actions and priorities
- B. They define organizational identity
- C. They are subject to negotiation under pressure**
- D. They remain stable over time

Q 18. Which of the following is least likely to represent a core value?

- A. Integrity guiding decision-making
- B. Consistency in behavior across situations
- C. Rapid adjustment to maximize quarterly profits**
- D. Shared ethical standards among members

Q 19. Which of the following companies, in the context of ICEA predicting mobile phone production in India to reach USD 75 Billion in FY26, is NOT a member of ICEA?

- A) Apple
- B) Foxconn
- C) Dixon
- D) Reliance**

Q 20. What does a company's vision mainly focus on?

- A. Daily operations
- B. Company rules
- C. Future goals and dreams**
- D. Employee salaries

Q 21. What does a company's mission describe?

- A. What the company wants to become
- B. The company's purpose and what it does now**
- C. Long-term dreams
- D. Employee benefits

Q 22. Which statement best represents a mission?

- A. To inspire future generations
- B. To be the best company in the world
- C. We deliver quality products to customers daily**
- D. To lead the future of innovation

Q 23. Which need is at the lowest level of Maslow's hierarchy?

- A. Physiological needs**
- B. Safety needs
- C. Social needs
- D. Esteem needs

Q 24. Which of the following is an example of safety needs?

- A. Friendship
- B. Job security**
- C. Self-respect
- D. Creativity.

Q 25. Which need focuses on achieving one's full potential and personal growth?

- A. Safety needs
- B. Social needs
- C. Esteem needs

D. Self-actualization

Q 26. In operations management, what does "What" mainly refer to?

- A. The task or process to be performed**
- B. The worker's salary
- C. The company's vision
- D. The working hours

Q 27. What does "Who" identify in 5W and 1H?

- A. The location of work
- B. The person or team responsible**
- C. The cost of operations
- D. The method used

Q 28. “When” in operations management helps determine:

A. The time or schedule of the activity

B. The tools required

C. The quality standards

D. The final output

Q 29. What does “How” focus on in 5W and 1H?

A. Why the task is important

B. Who will do the task

C. The method or procedure used

D. Where the task happens

Q 30. McGregor’s Theory X and Theory Y primarily deal with:

A) Marketing strategies

B) Employee motivation and management assumptions

C) Financial accounting methods

D) Production planning

SJM School of Management
Indian Institute of Technology Bombay
2nd Quiz For SOM101 Feb 2026

1. Each question carry 1 Mark .
2. There will be negative marking. All wrong answers will get minus 1 Mark
3. Total time 10 Minutes

1. A firm vertically integrates backward in response to rising input costs. Within Porter's framework, this primarily addresses:

- A. Threat of substitutes
- B. Bargaining power of buyers
- C. Bargaining power of suppliers
- D. Threat of new entrants

Answer: C

2. Which of the following increases buyer power without increasing buyer concentration?

- A. Increased switching costs
- B. Standardization of products
- C. Capacity shortages
- D. Brand-specific investments

Answer: B

3. Which scenario most increases the threat of substitutes without increasing rivalry?

- A. Entry of a low-cost competitor within the same strategic group
- B. Technological innovation from an adjacent industry offering similar functionality
- C. Industry consolidation reducing the number of players
- D. Increased fixed-cost intensity in production

Answer: B

4. If suppliers are concentrated and sell differentiated inputs with no viable substitutes, but the industry accounts for a small portion of their total sales, supplier power is:

- A. High
- B. Moderate

- C. Low
- D. Non-determinable

Answer: A

5. Which structural change most directly lowers industry profitability *without* altering the number of competitors?

- A. Increased product differentiation
- B. Reduction in switching costs
- C. Growth in overall market demand
- D. Economies of scale expansion

Answer: B

6. In a two-sided platform market (e.g., digital marketplaces), applying Porter's model becomes complex primarily because:

- A. Rivalry is irrelevant
- B. Buyers and suppliers may overlap roles
- C. Entry barriers are always negligible
- D. Substitutes cannot exist

Answer: B

7. A regulatory change reduces import tariffs in a previously protected domestic industry. The most immediate structural impact is:

- A. Reduced supplier power
- B. Increased threat of substitutes
- C. Increased threat of new entrants
- D. Reduced buyer power

Answer: C

8. Which combination of forces is most consistent with sustained supernormal profits?

- A. High rivalry, high buyer power, low entry barriers
- B. Low rivalry, low threat of substitutes, high entry barriers
- C. High supplier power, high substitutes, low switching costs
- D. Fragmented suppliers, low switching costs, high rivalry

Answer: B

9. A business unit has high relative market share (>1.0) but operates in a declining industry with negative growth. According to strict BCG logic, it is classified as:

- A. Star
- B. Cash Cow

- C. Dog
- D. Question Mark

Answer: B

10. Which assumption of the BCG Matrix most directly links relative market share to cost advantage?

- A. PIMS profitability correlation
- B. Learning curve effects
- C. Five Forces structural attractiveness
- D. Diversification synergy

Answer: B

11. If the largest competitor exits the market, a firm's relative market share will:

- A. Always increase
- B. Always decrease
- C. Increase only if its own sales rise
- D. Change depending on how the new largest competitor compares

Answer: D

12. Which condition most seriously undermines the internal capital allocation logic of the BCG matrix?

- A. Low product differentiation
- B. Absence of scale economies
- C. Strong network externalities
- D. High advertising intensity

Answer: B

13. A diversified firm uses weighted average relative market share across segments instead of segment-specific RMS. The most likely analytical distortion is:

- A. Overestimation of Stars
- B. Underestimation of Dogs
- C. Masking competitive heterogeneity
- D. Double counting market growth

Answer: C.

14. In hypercompetitive digital markets with near-zero marginal cost, which BCG assumption weakens most significantly?

- A. High growth consumes cash
- B. High share generates excess cash
- C. Dogs should be divested
- D. Stars require investment

Answer: B

15. A firm deliberately maintains a Dog business despite low growth and low relative share because it provides critical distribution access for a Star product. This strategy contradicts which BCG principle?

- A. Experience curve dominance
- B. Portfolio cash balance
- C. Stand-alone business evaluation
- D. Growth-share orthogonality

Answer: C

16. If industry growth is measured in revenue terms during high inflation, the BCG classification risk is:

- A. Overclassification into Dogs
- B. Artificial inflation of Stars and Question Marks
- C. Underestimation of Cash Cows
- D. Miscalculation of relative share

Answer: B

17. A firm with multiple Stars simultaneously may face which structural financial tension according to BCG logic?

- A. Excess idle cash reserves
- B. Over-diversification risk
- C. Capital rationing constraints
- D. Supplier bargaining power escalation

Answer: C

18 . Revenue deficit is defined as:

- A. Total expenditure minus total receipts including borrowings
- B. Revenue expenditure minus revenue receipts
- C. Capital expenditure minus capital receipts
- D. Fiscal deficit minus interest payments

Answer: B

19. If a government has a revenue deficit, it implies that:

- A. Borrowings are used only for capital formation
- B. Current expenditures exceed current revenues
- C. Capital receipts exceed capital expenditures
- D. The primary deficit is negative

Answer: B

20. Which of the following statements is correct?

- A. Revenue deficit includes borrowing in its calculation
- B. Fiscal deficit excludes capital expenditure
- C. Revenue deficit indicates dissaving of the government
- D. Fiscal deficit equals revenue deficit minus capital deficit

Answer: C

21. If revenue deficit is zero but fiscal deficit is positive, this implies:

- A. Borrowings are financing capital expenditure
- B. Government has no outstanding debt
- C. Revenue receipts exceed total expenditure
- D. Primary deficit must be zero

Answer: A

22. Revenue deficit as a percentage of GDP primarily measures:

- A. Long-term capital productivity
- B. The extent of intergenerational equity
- C. Sustainability of current fiscal operations
- D. Trade imbalance

Answer: C

23. A persistent revenue deficit over time most directly implies:

- A. Capital assets are expanding rapidly
- B. Government is borrowing to finance consumption
- C. Fiscal deficit is necessarily declining
- D. Public debt is being reduced

Answer: B

24. Revenue Deficit = 4% of GDP
GDP = 50,000

Revenue Expenditure exceeds Revenue Receipts by:

- A. 1,000
- B. 2,000
- C. 2,500
- D. 5,000

Answer: B

25. Total Expenditure = 3000
Revenue Receipts = 1800
Capital Receipts (excluding borrowings) = 200

What is the Fiscal Deficit?

- A. 800
- B. 1000
- C. 1200
- D. 1400

Answer: B

26. Which of the following is an output of Job Analysis?

- A. Job Description
- B. Organizational Chart
- C. Company Profit Report
- D. Balance Sheet

Answer: A

27. What is the main purpose of Job Analysis?

- A. To increase employee salary
- B. To identify duties, responsibilities, and skills required for a job
- C. To promote employees
- D. To reduce working hours

Answer: B

28. Which of the following is the first step in the job analysis process?

- A. Preparing job specification
- B. Collecting job information
- C. Determining the purpose of job analysis
- D. Preparing job description

Answer: C

29. Which of the following problems may occur if job analysis is not conducted properly?

- A. Hiring unsuitable candidates
- B. Poor training programs
- C. Role ambiguity among employees
- D. All of the above

Answer: D

30. Why is job analysis considered a foundation for human resource management?

- A. It helps determine employee salaries only
- B. It provides information needed for most HR decisions
- C. It eliminates the need for training
- D. It replaces performance evaluation

Answer: B

School Of Management
Indian Institute of Technology
BOMBAY

Subject SOM101 : QUIZ 3

1st Apr 2026

Instructions :

1. Total Marks 30
2. Each Question is for 1 mark. Wrong answer will carry minus 1 Mark
3. Use SAFE App
4. Total time 15 Minutes

1 Which of the following is NOT recognized as an asset?

- A. Machine purchased on credit
- B. Internally generated goodwill
- C. Land held for future use
- D. Building under construction

Answer: B

2. Cost of an asset includes:

- A. Purchase price + installation + testing – scrap proceeds
- B. Purchase price – scrap price
- C. Purchase price + depreciation + profit on sale
- D. Only installation cost

Answer: A

3. Which of the following is a non-current asset?

- A. Trade receivables
- B. Cash equivalents
- C. Inventory
- D. Patent

Answer: D

4. Given information: Asset cost = ₹6,00,000

Residual value = ₹60,000

Useful life = 6 years (SLM)

What will be the annual depreciation?

- A. ₹80,000
- B. ₹90,000

- C. ₹1,00,000
- D. ₹1,10,000

Answer: B

5. Asset cost = ₹5,00,000
Residual value = ₹50,000
Useful life = 5 years

What will be the Carrying amount after 2 years (SLM):

- A. ₹3,20,000
- B. ₹3,40,000
- C. ₹3,80,000
- D. ₹4,00,000

Answer: A

6. Asset cost = ₹10,00,000
Accumulated depreciation = ₹7,00,000
Sold for ₹4,00,000

What is Gain/Loss:

- A. Gain ₹1,00,000
- B. Loss ₹1,00,000
- C. No gain/loss
- D. Gain ₹3,00,000

Answer: A

7. A liability is recognized when

- A. There is a possible obligation
- B. There is a present obligation and outflow is probable
- C. There is a future commitment
- D. Payment is certain

Answer: B

8. Contingent Liability are

- A. Recognized in balance sheet
- B. Recognized only when paid
- C. Disclosed in notes
- D. Treated as assets

Answer: C

9. Which is a current liability?
- A. Debentures payable after 10 years
 - B. Long-term bank loan
 - C. Trade payables
 - D. Share capital

Answer: C

10. Financial liabilities are generally measured at:
- A. Historical cost
 - B. Fair value through profit or loss or amortized cost
 - C. Replacement cost
 - D. Net realizable value

Answer: B

11. Which statement is TRUE?
- A. All direct costs are variable
 - B. All variable costs are direct
 - C. Some direct costs may be fixed
 - D. Direct cost never affects liability

Answer: C

12. A firm produces 1,000 units:

- Variable cost per unit = ₹20
- 40% unpaid

Outstanding liability:

- A. ₹8,000
- B. ₹12,000
- C. ₹20,000
- D. ₹16,000

Answer: A

13. Which increases liability without creating an asset?
- A. Machinery purchase on credit
 - B. Inventory purchase on credit
 - C. Rent outstanding
 - D. Prepaid expense

Answer: C

14. Production details:

- Fixed cost = ₹1,00,000
- Variable cost = ₹50/unit
- Units = 2,000
- 25% of total cost unpaid

What is total liability:

- A. ₹37,500
- B. ₹50,000
- C. ₹75,000
- D. ₹62,500

Answer: B

15. Revenue = ₹15,00,000

COGS = ₹9,00,000

Operating expenses = ₹2,00,000 (includes depreciation ₹50,000)

What is EBIDTA ?

- A. ₹4,00,000
- B. ₹4,50,000
- C. ₹3,50,000
- D. ₹5,00,000

Answer: B

16 . Sales = ₹12,00,000

COGS = ₹7,00,000

Admin expenses = ₹1,00,000

Selling expenses = ₹50,000

Interest = ₹40,000

What is Operating Profit ?

- A. ₹3,50,000
- B. ₹3,00,000
- C. ₹3,10,000
- D. ₹2,50,000

Answer: A

17. Opening stock = ₹2,00,000

Purchases = ₹5,00,000

Closing stock = ₹1,50,000

Sales = ₹8,00,000

What is Gross Profit?

- A. ₹2,50,000

- B. ₹2,00,000
- C. ₹2,30,000
- D. ₹1,50,000

Answer: A

18. Full Profit Flow

Sales = ₹25,00,000
COGS = ₹15,00,000
Operating expenses = ₹5,00,000 (incl. depreciation ₹1,00,000)
Interest = ₹2,00,000
Tax rate = 25%

What is Net Profit?

- A. ₹2,25,000
- B. ₹2,50,000
- C. ₹3,00,000
- D. ₹1,50,000

Answer: A

19. Current Assets = ₹8,00,000
Inventory includes obsolete stock ₹50,000
Current Liabilities = ₹5,20,000

What is Net Working Capital:

- A. ₹2,80,000
- B. ₹2,30,000
- C. ₹3,00,000
- D. ₹2,50,000

Answer: B

20. Raw material period = 30 days
WIP period = 20 days
Finished goods period = 25 days
Receivables period = 40 days
Payables period = 35 days

What is the operating cycle for this company?

- A. 80 days
- B. 75 days
- C. 120 days
- D. 90 days

Answer: A

21. Annual sales = ₹36,00,000

Operating cycle = 60 days

What is the Working capital required:

A. ₹6,00,000

B. ₹5,00,000

C. ₹4,50,000

D. ₹7,20,000

Answer: A

22. Sales = ₹50,00,000

Profit margin = 20% on sales

Operating cycle = 72 days

What is the Working capital required:

A. ₹8,00,000

B. ₹10,00,000

C. ₹7,20,000

D. ₹12,00,000

Answer: A

23. Which statement is TRUE?

A. Liquidity ensures long-term survival

B. Solvency ensures short-term payments

C. A firm can be solvent but illiquid

D. Liquidity and solvency are identical

Answer: C

24. Which situation indicates high profit but low cash flow?

A. High depreciation

B. Increase in receivables

C. Decrease in inventory

D. Increase in payables

Answer: B

25. A longer operating cycle generally :

A. Improves liquidity

B. Reduces working capital requirement

- C. Increases working capital requirement
- D. Has no effect

Answer: C

26. A very high current ratio may indicate:

- A. Efficient asset use
- B. Poor liquidity
- C. Idle resources
- D. High profitability

Answer: C

27. Which item is excluded from the quick ratio?

- A. Cash
- B. Receivables
- C. Inventory
- D. Marketable securities

Answer: C

28. Negative working capital always implies:

- A. Poor financial health
- B. High liquidity
- C. Efficient operations
- D. Bankruptcy

Answer: C

29. Revenue = ₹25,00,000

COGS = ₹15,00,000

Operating expenses = ₹4,00,000 (incl. depreciation ₹80,000, amortization ₹20,000)

What is the EBITDA:

- A. ₹6,00,000
- B. ₹6,80,000
- C. ₹7,00,000
- D. ₹5,80,000

Answer: C

30. Opening stock = ₹4,00,000

Purchases = ₹10,00,000

Closing stock (overstated by ₹1,00,000) = ₹6,00,000

Sales = ₹15,00,000

What is the Correct Gross Profit:

- A. ₹7,00,000
- B. ₹6,00,000
- C. ₹5,00,000
- D. ₹4,00,000

Answer: B